- IMP-NOTE: (1) Babushone fixated over data: if there is mismatch in some datapoint between prelims vs Mains handout then consult prelims handout is more latest info. e.g. upto 12 lakh no Income Tax, or whatever subsidy/deficit figure of GST%= I may have missed updating every small single sentence in mains HDT. Plz have some maturity, if you're truly an IAS aspirant.
- (2) Mains-2026's-PYQ are in **Handout#2 of Mains (Revdi2Deficit).** So have **Patience** plz.

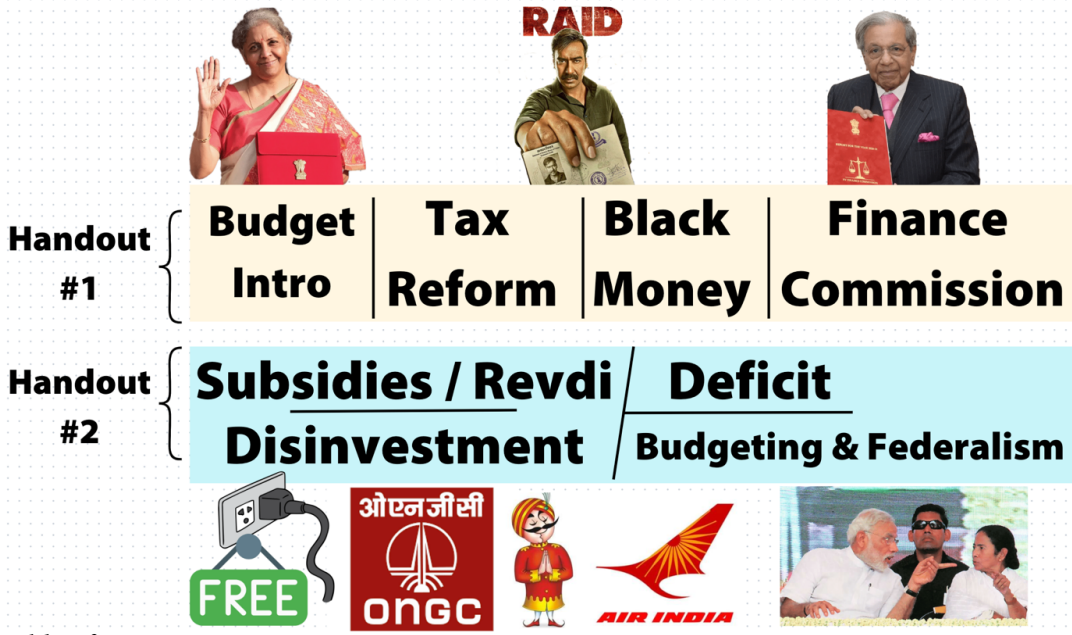


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21 💼🍋 Pillar #2: Budget for Mains

21.1 👜 Definitions / Meaning- Fiscal Policy and Budget

- 'Fiscal' is a word derived from Greek. Means 'basket' and symbolizes the public purse. Fiscal Policy is the set of Govt. decisions regarding taxation, expenditure, subsidies and other financial operations. (कराधान, व्यय, सब्सिडी और अन्य वित्तीय संचालन हेतु सरकार द्वारा लिए गए निर्णय)

– Budget is an annual financial statement containing estimated revenues and expenditures for the next financial year. Budget is the primary tool used by Govt to implement its fiscal policy. (अनुमानित राजस्व और व्यय का वार्षिक वित्तीय विवरण, जिसकी मदद से सरकार राजकोषीय नीति को लागू क्रियान्वित है).

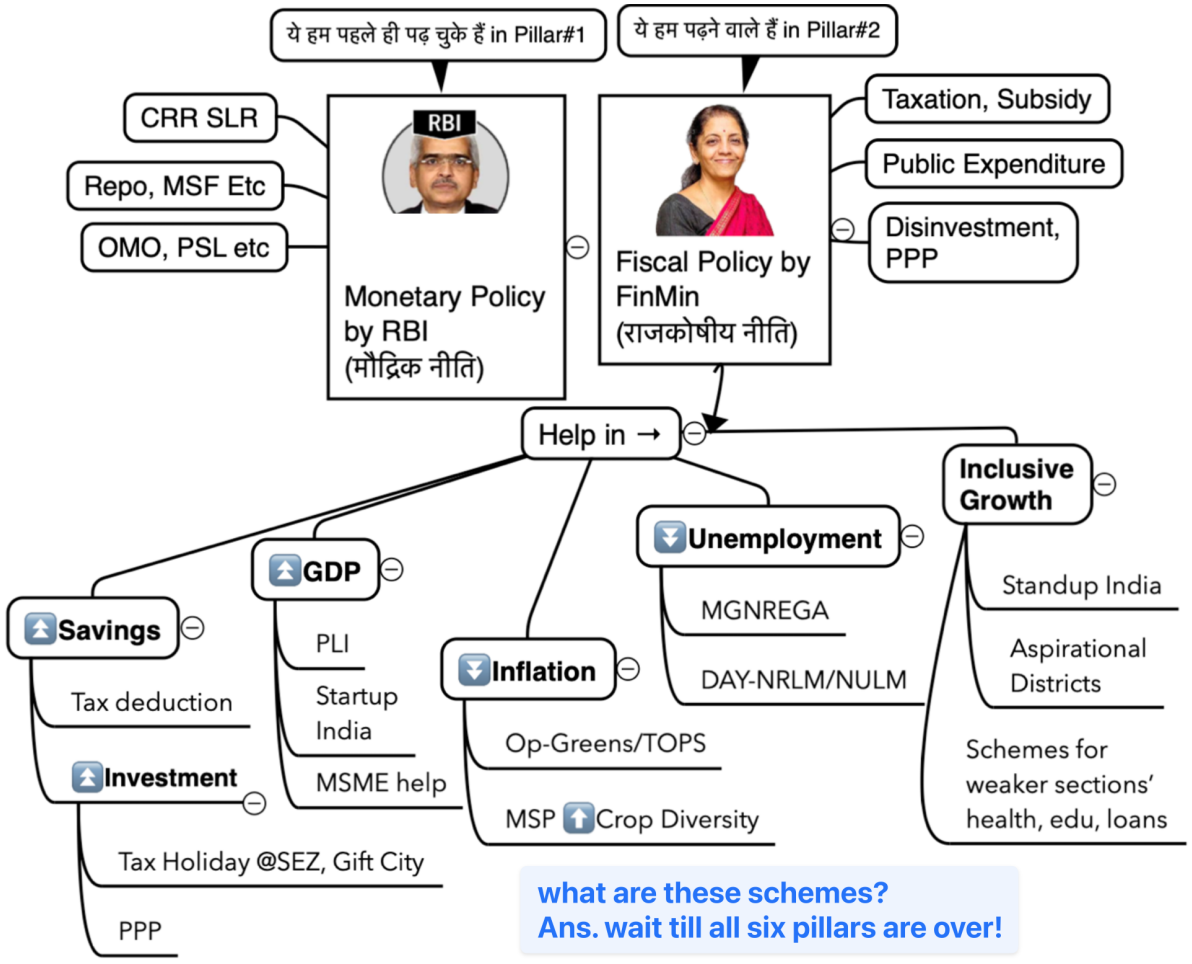
– (Significance) Using fiscal policy, Govt influences the savings, investment and consumption in an economy, to accomplish certain national goals such as income redistribution, socio-economic welfare, economic development and inclusive growth. (बचत, निवेश और खपत को सरकार को प्रभावित करती→ आय का पुनर्वितरण, सामाजिक-आर्थिक कल्याण, समावेशी विकास हो सकता है)

21.2 BUDGET IS BIGGER THAN ECONOMIC HOROSCOPE OF A NATION

बजट देश की आर्थिक कुंडली से भी बड़ा है

HOROSCOPE	BUDGET
predict your future	annual financial statement tells about the future income, expense and deficit of the government.
cannot change the future, it can only predict it.	can change/improve the economic future of the country, through taxation (under finance Bill) and public expenditure (through appropriation Bill). Then you elaborate with examples, I will not spoonfeed you every thing, it will not help in your mental growth required for the mains answer writing.
	IMF/World Bank/ Moody's Rating agency also Give predictions about the India's GDP growth. But they cannot change the trajectory unlike budget.

21.3 BUDGET IS MEDICAL REPORT FOR COUNTRY'S FINANCIAL HEALTH



Self explanatory: but if not understood then watch: https://youtu.be/uRKep3M1iTE

Health Indicator	Budget Statements
Excess **blood sugar** not good / diabetes	excess subsidy / revdi culture / revenue deficit not good. It may taste sweet to some voters, but harms economic health.

Health Indicator	Budget Statements
During the **Diarrhoea**, food does not stay long enough in the intestine so body cannot absorb the nutritions.	**Revdi/freebie culture/freebies** = diarrhoea, money does not stay long enough in the creation of infrastructure / job creation. Capital expenditure, infrastructure ke long gestation projects are better for economic health.
Low White Blood Cell (WBC) count : more chances of infection, less change of self-healing.	weaker section need to be protected from poverty destitution through adequate spending on education, health, financial inclusion, insurance, pension, disaster management related schemes.
Body Mass Index (BMI): Obesity not good.	minimal government required. Disinvestment helps shading excess weight. ES found after disinvestment, the profitability of the company improves.
BMI: food intake should be moderate.	Income tax should not be so high that it encourages black money and discourages investment/incentive to work.
Blood Report: Anaemia if not enough Hb/iron then blood can't carry oxygen to organs	if not enough money spent on education, skill, IPR then youth can't bring demographic dividend.
Constipation: food not digested properly. Causing new disease	in many schemes / funds, money remains unspent till end of March, then it doesn't help in human development. e.g. Nirbhaya Fund
Junk food / excess eating is not good for health.	Unregulated Fiscal stimulus can cause overheating problem in economy. (Ref Pillar4-GDP or this Youtube Video)

You can draw even more parallel comparisons, but I think this is more than enough for filling up the word limit.

👋🏻**Conclusion?** Thus, just like a doctor can diagnose a patient's health by looking at the medical report, an economist can diagnose / predict a nation's economic health, financial well-being, & human development potential by looking at its budget (इस प्रकार, जैसे एक डॉक्टर चिकित्सा रिपोर्ट को देखकर रोगी के स्वास्थ्य का निदान कर सकता है, एक अर्थशास्त्री बजट को देखकर राष्ट्र के आर्थिक स्वास्थ्य, वित्तीय कल्याण और मानव विकास क्षमता का निदान / भविष्यवाणी कर सकता है।)

22 🍋 TAXATION कराधान

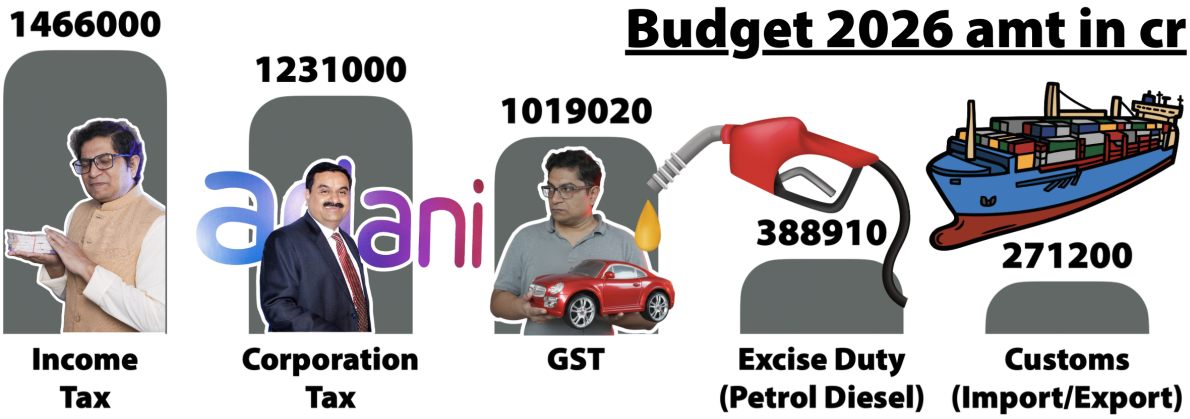
We won't waste time on learning theory and current about the budget tax, etc. We already done that in prelims. We'll prepare selective topics that I find useful / important. क्योंकि ये बाबूराव का स्टाइल है।

22.1 🍋 TAX REFORMS IN RECENT YEARS (कर सुधार)

Hiked some taxes	- 2026: Gold-Silver import taxes doubled from ~9% to 18% curb Current Account Deficit. (सोने चाँदी के आयात पे करो को दुगना किया ताकि चालू खाता घाटा कम हो
Deleted some taxes	- Dividend Distribution Tax (DDT), Wealth Tax, Angel Tax (on Startups), and equalization levy (google tax) have been abolished. (लाभांश वितरण कर, संपत्ति कर, एंजल-टेक्श, एक्विलाइएशन लेवी को हटा दिया)

	- 2026: Foreign investors exemption from Income Tax, Capital Gains tax if investing in G-Sec. This aims to boost $ dollar inflow in India.
Added some taxes	- GST introduced (2017) ➡ reformed in 2025 called 'GST 2.0'. - Crypto currency : 30% Capital Gains Tax and 1% TDS. (पूंजीगत लाभ कर) - A variety of cess and surcharges (उपकर और अधिभार) have been introduced, e.g. Health and Education cess, social welfare surcharge, Agriculture Infrastructure and Development Cess, and Road & Infrastructure Cess.
Reduced some taxes	- Corporation tax & income tax have been reduced. (निगम कर और आयकर में कटौती) - A new income tax regime (NTR) has been introduced that allows tax saving without locking money in long-term investments and keeps more disposable income in the hands of people. - Stamp duty on shares and bonds has been rationalised.
BLACK MONEY	- Refer to separate section on it, given in this same handout.
Income Tax Bill 2025	- Income Tax Bill to replace Income Tax Act of 1961 - However, not much has changed. It is mostly same provisions with shorter and simpler text. Refer to Prelims HDT #2B.
FPI G-Sec Investments	- 2026-June FPI/FII: Retrospective Tax Exemption (from April'26) on G-Secs investment via IT Ordinance. FPI/FII need not pay income tax or capital gains tax on their investments in G-Sec. Benefit? Attract dollars to stabilize ₹ - विदेशी निवेशकों को सरकारी प्रतिभूतियों में पुरानी तारीख़ से आयकर पे छूट ताकि भारत में डॉलर आए

22.1.1 Tax Collection: Highest to Lowest in 👛Budget-2026 (amt in lakh crores)



22.2 🍋 Tax Expenditure / Revenue Forgone (कर व्यय/परित्यक्त राजस्व)

(Definition) When the government provides tax breaks, exemptions, and deductions to a) boost some sectors of the economy or b) to provide some type of relief to the taxpayers, then the government suffers a monetary loss. This monetary loss is called Tax expenditure / revenue forgone. (जब सरकार किसी क्षेत्र को प्रोत्साहन देने के लिए या करदाता देने के लिए करों में छूट देती है तो अंततः सरकार का जो आर्थिक नुकसान होता है उसे कर व्यय कहते हैं)

Some notable examples include:

– Tax holidays given in SEZ, GIFT City, to startup companies.

- Reduced capital gains tax if a person sells a home to buy a new home.
- Income tax benefits for loans taken for the purchase of a first home.

2017: reduced the Income tax rate

Income Tax आयकर	Before	After-2017 reform
Lowest Slab (सबसे छोटी स्लेब)	10%	5%

2019 and 2024: reduced the corporation tax on companies.

Corporation Tax निगम कर	Before	After Reform
Existing Indian Company (पहेले से विद्यमान भारतीय कंपनी)	30%	22%
New Indian Company setup on / after 1/Oct/2019	30%	15%
Foreign companies profit in India (👛Budget-24-July)	40%	35%

Impact of Corporation tax reduction: ₹1.45 trillion revenue forgone in 2019–20.

2020: introduced the new income tax regime (NTR) then **2025**: made further reforms in it. NTR allows some of the Income Tax payers to save money compared to old tax regime. Consequently, a person with upto ₹12 lakh rupees annual income has to pay practically ₹0 as income tax.

22.2.1 🍋 Tax expenditure: how it helps the country? (देश को कैसे फायदा करता है)

- Increasing disposable income in the hands of taxpayers leads to increased demand, production, GDP, and job creation. (खर्च करने योग्य आय बढ़ाता है)
- If a company has to pay less tax, it can utilize the saved money for business expansion, factory development, recruitment, etc. (कंपनी बचे हुए पैसों को व्यापार विस्तार में, रोज़गार निर्माण में लगा सकती है।)
- Providing tax breaks to foreign companies could encourage them to establish headquarters in India, such as in Gift City (Ref Pill3-Prelims). (विदेशी कंपनियों को भारत में मुख्यालय बनाने का प्रोत्साहन)
- Women empowerment: Some state governments provide a reduction in stamp duty if the land property is registered in the name of a female/wife/mother, etc. This also promotes female empowerment and reduces the risk of forced eviction after domestic violence. (महिला सशक्तिकरण भी होता है, जब राज्य सरकार ऐसे नियम बनाती है कि महिला के नाम पर पंजीकृत किए गए मकान पर कम स्टैम्प ड्यूटी लगेगी।)
- Pollution control: Tax benefits are given on the purchase of e-vehicles. (प्रदूषण नियंत्रण,ई-वाहन)
- Reducing share market volatility: Suppose you sell a share at a profit, how much capital gains tax do you have to pay? (शेयर बाजार में अस्थिरता कम करता है)

HOLDING PERIOD OF EQUITIES (SHARES)	CGT TAX ON PROFIT
IF SOLD WITHIN 12 MONTHS OF PURCHASE	20% Short-Term Capital Gains (STCG)
IF SOLD WITHIN AFTER 12 MONTHS	12.5% Long-Term Capital Gains (LTCG)

Since the long-term capital gains tax is lower than STCG, it encourages the investor not to sell shares unnecessarily before one year, which automatically reduces the price volatility in the Sharemarket.

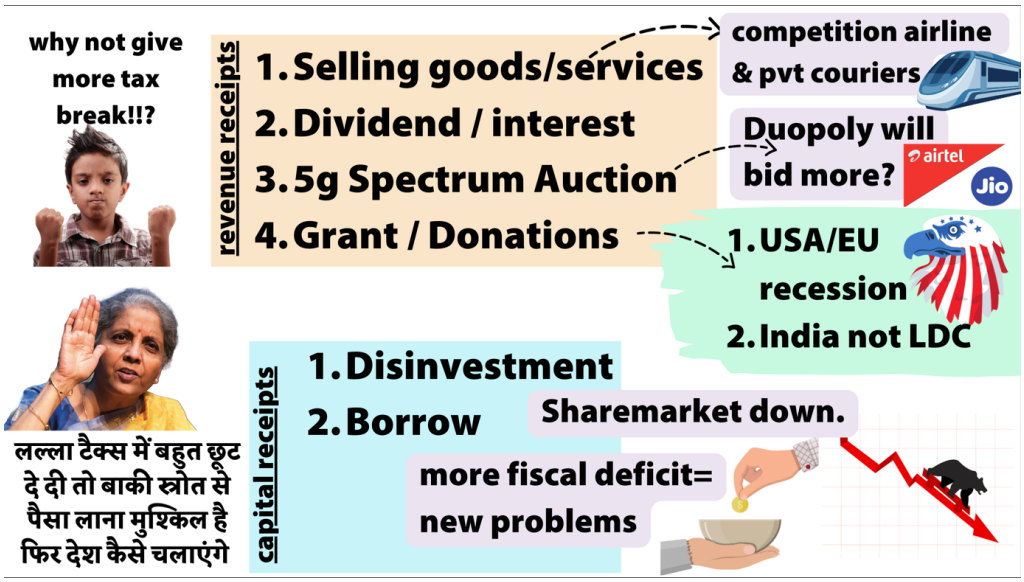
22.2.2 🍋👎 Tax expenditure: negative aspects (नकारात्मक पहलू)

- Reduces the revenue collection & fiscal capacity of the union. Increases the revenue deficit / fiscal deficit. (आमदनी को कम करता है, घाटे को बढ़ाता है.)

- Government will have to cover up the deficit through other sources of income, but there are challenges with excess fiscal deficit. (अत्याधिक राजकोषीय घाटा समस्याए पैदा कर सकता है.)

22.2.3 🍋👋🔪Conclusion: Tax Expenditure / tax breaks (निष्कर्ष)

- Although tax expenditure causes a financial loss to the government. However, it indirectly encourages economic growth, job creation, infrastructure development, women's empowerment, and other positive impacts on the nation.
- But, we must avoid excessive tax breaks as it weakens the fiscal capacity of the union.
- The real test of policymakers lies in finding a calibrated balance between both ends. (देश के आर्थिक वृद्धि और मानव विकास के लिए करों में छूट देना जरूरी लेकिन एक हद से ज्यादा छूट दे दी तो सरकार को वित्तीय नुकसान भी होता है. इसलिए एक उचित मध्यम मार्ग ढूंढना ही नीति निर्माताओं की असल कसौटी है.)



22.3 Taxation → GST

22.3.1 Definition / Origin of GST

- (Meaning) GST is a destination based indirect tax on consumption of goods and services. (जीएसटी वस्तुओं और सेवाओं के खपत-स्थान पर आधारित अप्रत्यक्ष कर है।)
- (Origin) It was introduced on 1st July 2017, after the 101st constitutional amendment act.
- The GST has replaced several earlier indirect taxes that were levied by the union and states. Notable examples are service tax, excise duty, entertainment tax, and VAT.
- (Significance) GST provides input tax credit (ITC) to the supplier/merchant, and thereby a) reduces cascading effect of taxes and b) reduces the scope/motivation for tax evasion.

22.3.2 GST theory

- What are the functions of GST Council? What is iGST/CGST/SGST, what is zero rated export, etc done in Prelims Handout

22.4 🌸😇 GST 2.0 rationalisation (2025)

- 2017: GST was started with four major slabs- 5%,12%,18% and 28%. Additionally, there was special rate for metals and precious stones.

- 2025-Sept: GST was rationalized. 99% of the goods and services in 5% Merit Rate (मेरिट दर) &18% Standard Rate (मानक दर). [Although few items in the 40% demerit slab (अवगुण-दर); & precious metals and stones in 0.25%-3% sales.]

22.4.1 GST 2.0 Benefits

Note: it is not possible to memorise every "before-after" rate, so I have only mentioned major rates.

Rate Reduction	Implication
Variety of prepacked food, soap, shampoo, toothpaste, a bicycle, kitchenware (12–18% → 0–5%)	Savings for Indian households. रोज़ाना उपयोग की चीजे सस्ती होंगी परिवार का पैसा बचेगा।
White goods = air conditioners, dishwashers, fridges, etc. Large household electronic appliances. (18%)	Savings for Indian households. Previously, television had two tax rates — 18% and 28% — depending on the screen size 32 inches or more. Now single rate 18%.
Life and health insurance (18% → 0%) जीवन बीमा का गाँव गाँव तक प्रवेश होगा	Will make insurance more affordable, particularly for senior citizens and low-income families, raising India's insurance penetration and strengthening social security.
Medicines (reduced to 0–5%) दवाई चिकित्सा ख़र्च में कटौती	Wider access to modern medicine and diagnostics, easing financial burdens on households.
Tractors, farm machinery, fertilizers, sulphuric acid, and ammonia (5%)	Lowers costs for farmers, enhancing affordability of essential agricultural equipment, improving farm productivity. (किसान अच्छी मशीन किफ़ायती दाम में ख़रीद पाएगा कृषि उत्पादकता बढ़ेगी।)
Handicrafts & leather goods	Stimulates employment in labour-intensive traditional industries. (हस्तकला और चर्म-उद्योग में रोज़गार के अवसर।)
Man-made fibre and yarn (5%)	Removes inverted duty problem and boosts competitiveness against foreign nations, exports, and jobs. (विदेशी उत्पादों के सामने हम स्पर्धा कर पाएंगे।)
Cement (28 → 18%)	Reduces construction costs, drives multiplier effects in housing and infrastructure. (मकान विनिर्माण से सस्ता)
Renewable energy devices (12 → 5%)	Accelerates India's green growth by making renewable energy solutions more affordable. (स्वच्छ ऊर्जा सस्ती)
Automobiles Small cars & Bikes (28% → 18%)	Demand, production, exports, and jobs. (वाहनों पर करों में कटौती से उपभोग, उत्पादन, निर्यात, और रोज़गार बढ़ेंगे।)
Commercial vehicles e.g. buses, trucks (28->18) परिवहन और मालवहन सस्ता होगा।	Reduce logistics costs for the economy, Encourage passenger/cargo companies to upgrade their fleets with

	modern, fuel-efficient, and safer trucks and buses

22.4.2 → GST 2.0 +ve ✅ Positive: process and administrative reforms

- Goods and Services Tax Appellate Tribunal (GSTAT) will become operational by year-end (2025) = faster dispute resolution and enhanced trust in the system. (त्वरित विवाद निपटान।)
- Faster GST registration for small traders. (तेज पंजीकरण छोटे व्यापारियों के लिए।)
- Faster refunds for Zero Rated Supplies & supplies with Inverted Duty Structure. (जल्दी रिफंड)

22.5 🥀😢 GST 2.0- NEGATIVE / CRITICISM, CHALLENGES

- In prelims we discussed this but for Mains, not much point **nitpicking** over it e.g. how EV, General Insurance, Airplane, Tractor, Food-delivery App industries etc made complains either bcoz (i) rates not reduced or have been increased (ii) bcoz they'll not get ITC (iii) bcoz of Inverted duty structure. (बाल की खाल निकालने का मतलब नहीं)
- GST 2.0 rationalization raises concerns about companies not passing reduced tax rates to consumers. Given the Competition Commission of India (CCI)'s understaffing, there's a case for reviving the National Anti-Profiteering Authority. (जीएसटी 2.0 में टैक्स कटौती के बावजूद ग्राहक को लाभ न मिलने की चिंता; भारतीय प्रतिस्पर्धा आयोग में मानवबल की कमी, इसलिए एनएपीए को पुनर्जीवित करने की जरूरत।)
- Rate cuts likely to cause ₹48,000 crore a year revenue loss. (Also called called revenue forgone, or tax expenditure, ref 2A1 Income tax HDT)
- The union hasn't clarified how it will compensate the states for this. (संघ ने राज्यों को इसके लिए मुआवजा देने के तरीके पर स्पष्टता नहीं दी।)
- Input Bidi ke Tendu leaves : 18% to 5% and Output Bidi : 28% to 18%- giving open invitation to Cancer.

22.5.1 🌸😇✍️ Conclusion for GST 2.0

- Overall, GST 2.0 has lowered the tax burden on common people, ease of doing business with faster registration for traders, released locked working capital via faster refunds. (जीएसटी 2.0 ने करो का बोज कम किया, पंजीकरण और रिफंड को तेज किया है ।)
- Barring a few limitations / criticism/ unresolved issues of inverted duty structures and high rate increases in some sectors, GST 2.0 is a people's reform benefiting citizens, farmers, workers, businesses and entrepreneurs alike. (यदि कुछ चुनिंदा उद्योग क्षेत्रो की दर-वृद्धि आदि की शिकायतो एक तरफ़ रखें, तो बृहद रूप से जीएसटी 2.0 एक जन-सुधार है जो नागरिकों, किसानों, श्रमिकों, व्यवसायों और उद्यमियों को समान रूप से लाभ देता है।)
- GST 2.0 will help in a long way in achieve target of making India a $5 trillion GDP / 3rd largest economy. (भारत को 5 ट्रिलियन डॉलर जीडीपी / तीसरी सबसे बड़ी अर्थव्यवस्था बनाने के लक्ष्य को प्राप्त करने में काफी मदद)

22.5.2 GST technological solutions to reduce tax evasion

- E-Way bill / E-invoicing. Geotagging of the firms and cargo vehicles.
- Cross-referencing the transactions through Aadhar-PAN link.
- GSTN portal gives free downloadable accounting softwares for the small traders.
- HSN/SAC codes for the goods and services for making bills.

22.6 GST: Challenges (चुनौतियां)

22.6.1 High Rates and Multiple Slabs (उच्च दर और कई स्लैब)

- In, Singapore GST only 7%, Australia GST only 10%.
- But in India, from 2017 to 2025, **we had too many SLABS:** 5-12-18-28% slabs. Many daily necessities were in 12-18% GST slab. Indirect taxes regressive in nature & harm purchasing power of poor. (गरीबों की खरदी शक्ति को कम करता है)
- Only in 2025, these anomalies were fixed under GST 2.0 (Ref: Pillar#2A2-GST)
- **Petrol, diesel, electricity:** not subjected to GST regime yet, So, businessman cannot claim GST-input credit on them. Even when crude oil prices are ⬇ in the international market, the Union and State governments ⏫ Union excise and state VAT on the petroleum fuels just to earn more revenue, which further aggravates the inflation and business cost. (विश्व बाजार में कच्चा तेल सस्ता होने पर सरकार ज्यादा आमदनी के लिए उत्पाद शुल्क और वेट की दर बढ़ा देती है।)
- Farmers demand they should be given automatic ITC-rebate/refund for the GST paid on inputs.
- Inverted Duty Structure Problem in Some Sector. (विपरीत कर संरचना)

22.6.2 Frequent changes harming long term business planning

- Frequent changes in GST rates makes it difficult for the companies to plan long term business strategies. (जीएसटी की दरों में बार बार बदलाव के चलते, उधयोगपति लंबी समयावधि के लिए रणनीति नहीं बना पाते।)
- E.g. In 2019-Sept, GST on Caffeinated beverages ⬆ from 18% ⟶ 28%. This will ⬇ sales. If any soft-drinks company had invested in factory expansion ➞ it would suffer. 😨
- 15th Finance Commission Chairman NK Singh has also criticized frequent changes in GST rates. https://youtu.be/hMAA4sVnx7Q?si=Bgc-CCtjA4PULsiT

22.6.3 Random Fall in collection (आमद में कमी)

- Protectionism (संरक्षणवाद) by USA, EU and China = they're imposing more duties on Indian exports⟶ Indian exports become expensive for foreigners ⟶ sales ⬇ ⟶ manufacturing and service sector production declined ⟶ GST ⬇ (More in Pillar#3)
- Automobiles, consumer durables (TV, fridge etc), real estate ⬇ due to variety of reasons.
- Unscrupulous traders setup phony shell companies and generate **fake invoices** to claim input tax credit through **Circular Trading**. ~~(How it works?=Modus operandi NotIMP.)~~
- As a result, States are complaining that GST compensation cess amount is not released in a timely fashion by the Union Government. ⟶ State funded welfare schemes suffer. 😨
- This problem has aggravated further during/after Corona pandemic (2020)

22.6.4 Inconvenience to Small Traders (छोटे व्यापारियों के लिए असुविधा)

- 😭 In GSTN webportal, the traders have to deposit the GST on monthly basis, upload various forms & invoice details, generate e-way bills. While govt has tried to keep these online forms/ mechanisms as simple as possible, but since many small traders are not proficient with

computer, excel / accounting software, internet, digital payments- GST-compliance creates inconvenience to them, and forces them to hire full time accountants, ⏫ cost of operations.

- 😾 (**Counter**: Even in erstwhile VAT system they had to upload similar things online so, it's not entirely new or alien system imposed upon them. Besides, they can opt for the GST composition scheme where they have to upload things on quarterly basis instead of monthly basis. GSTN portal also provides free accounting software to small traders so they don't have to spend ₹ in buying proprietary software like Tally)

➢ 😭 GSTN server crashes often so traders can't upload things on time, and then they've to pay penalty for crossing monthly deadlines. (सर्वर में बार बार तकनीकी ख़राबी आ जाती है)

- 😾 (**Counter**: GST Council has reduced the late-fees, GSTN portal has been given technical upgrades to reduce the glitches/outages.)

➢ GST officers engage in harassment of the traders for the purpose of bribery, by threatening to arrest them even for small mistakes.

- Many small mistakes/non-compliances have been decriminalised / only penalty need to be paid. Thereby, reducing the nuisance power of the officers in giving threats of arrest.

➢ 😭 Malaysia scrapped GST in 2018 due to popular uproar against it, So it will not be successful in India either! (मलेशिया में जन आक्रोश के चलते GST को हटा दिया गया तो भारत में भी ये नहीं चलेगा।)

- 😾 (**Counter**: Malaysia had subjected all the goods and services to a flat rate of 6% and the opposition parties were blaming it for the inflation, and there were many political dimensions to the entire controversy. Whereas in India, we have kept many daily necessity goods at 0% to 5% GST. RBI has been mostly successful in keeping the inflation within 2-6% CPI limit. GST is implemented through Constitutional Amendment so even if Rahul Gandhi promises to "UNDO" this *Gabbar Singh Tax*, he'll have to go for another Constitutional Amendment with approvals from State Vidhan Sabhas, to scrap the GST, which is not so easy.)

22.6.5 🍋😢 GST – compensation- new demands by States (2024 क्षतिपूर्ति मुआवजा)

- Originally, GST compensation cess for States was set to end in June 2022.
- However, it has been extended until March 2026 due to Corona-related challenges.
- 2024: Now some state govts are demanding this cess should be made permanent even beyond 2026. But such actions will ultimately increase the burden of taxes on customers (राज्यो की माँग की इस उपकार को क़ायमी कर दो, लेकिन ग्राहक पर बोझ बढ़ेगा।)

22.6.6 🍋🛒😢 GST: Charms (फ़ायदे)

- Zero rated exports (निर्यात पे जीएसटी रिबेट)
- Ancillarisation/ sub-contracting → jobs /MSME (उप-ठेकेदारी / आउटसोर्सिंग के अवसर)
- Cascading effect removed. ↓ burden on customer. (करो का सोपनी प्रभाव कम)

- ITC credit-invoice must -self-policing by traders → evasion ↓ (जीएसटी रिबेट से विक्रेता स्वयं बने कर-चौकीदार।)
- Same rates in all States → Rate Arbitrage ↓ (सभी राज्यो में एक समान कर। अपवंचन / कर बचाने के लिए दूसरे राज्यो से गाड़ी/सामान ख़रीदने में कमी)

22.7 ✍ GST: Conclusion Template (सार/निष्कर्ष)

(if asked to examine critically the challenges or obstacles in GST) Any new change is accompanied by difficulties and problems at first. A tax reform as comprehensive as GST is bound to pose certain challenges not only for the government but also for business community, tax authorities and even common. But ultimately, <write any of below benefits> स्वाभाविक है किसी भी बड़े सुधार से शुरू शुरू में असुविधा

1. With the aforementioned features / benefits, GST will help India progress towards "ONE NATION, ONE TAX, ONE MARKET". एक राष्ट्र एक कर एक बाजार **OR**
2. Indeed, the introduction of GST is truly a game changer for Indian economy as it has replaced multi-layered, complex indirect tax structure with a simple, transparent and technology–driven tax regime. **OR** बहु-स्तरित, जटिल अप्रत्यक्ष कर संरचना को एक सरल, पारदर्शी प्रौद्योगिकी-चालित कर व्यवस्था के बदल दिया
3. Thus, GST eliminates cascading of taxes,⏬ operational costs, thereby ⏫ ease of doing business and catalysing Indian economy. करों का सोपानी प्रभाव, लागत में कटौती, व्यापार में सुगमता, अर्थतंत्र उद्दीपन

22.8 ✍🎺Mock Q for Mains from TAXES

1) Budget is an indicator of financial health of a country which is reflected in the statement of income and expenditure. (बजट किसी देश के वित्तीय स्वास्थ्य का संकेतक है।)
2) Budget is more than the economic horoscope of the nation (बजट देश की आर्थिक कुंडली से भी बड़ा है)
3) (PYQ-GSM3-2018) Comment on the important changes introduced in respect of the Long-term Capital Gains Tax (LCGT) and Dividend Distribution Tax (DDT) in the Union Budget for 2018. केंद्रीय बजट 2018 के दीर्घकालिक पूंजीगत कर (एलसीजीटी) और लाभांश वितरण कर (डीडीटी) के संबंध में पेश किए गए महत्वपूर्ण परिवर्तनों पर टिप्पणी करें। → ✋**Note we NEED not prepare due to poor cost:benefit of preparing for chartered accountant, knowledge**. Q given is only for observation. After 2018, they have not asked such a chartered accountant question.
4) (PYQ-GSM3-2013) What is meaning of the term tax-expenditure? Taking housing sector as an example, discuss how it influences budgetary policies of the government. (कर-व्यय / परित्यक्त राजस्व क्या है? आवास क्षेत्र को एक उदाहरण के रूप में लेते हुए, चर्चा करें कि यह सरकार की बजटीय नीतियों को कैसे प्रभावित करता है।)
5) (PYQ-GSM3-2020) Explain the rationale behind the Goods and Services Tax (Compensation to States) Act of 2017. How has COVID-19 impacted the GST compensation fund and created new federal tensions? (वास्तु एवं सेवा कर (राज्यों को क्षतिपूर्ति) अधिनियम, 2017 के तर्काधार की व्याख्या कीजिए l कोविद-19 ने कैसे वस्तु एवं सेवा कर क्षतिपूर्ति निधि (जी.एस.टी.कॉम्पेन्सेशन फन्ड) को प्रभावित और नये संघीय तनावों को उत्पन्न किया है?) Ans. Prelims GST Handout Back2Back loans
6) (PYQ-GSM2-2017) Explain the salient features of the constitution (One Hundred and First Amendment) Act, 2016. Do you think it is efficacious enough 'to remove cascading effect of taxes and provide for common national market for goods and services'? १०१ वे संविधानिक संशोधन अधिनियम, 2016 की मुख्य विशेषताओं को स्पष्ट करें। क्या कि करों के सोपानी प्रभाव को हटाने और आम राष्ट्रीय बाजार बनाने के लिए यह पर्याप्तरूप से प्रभावकारी है? Ans. Prelims Handout.

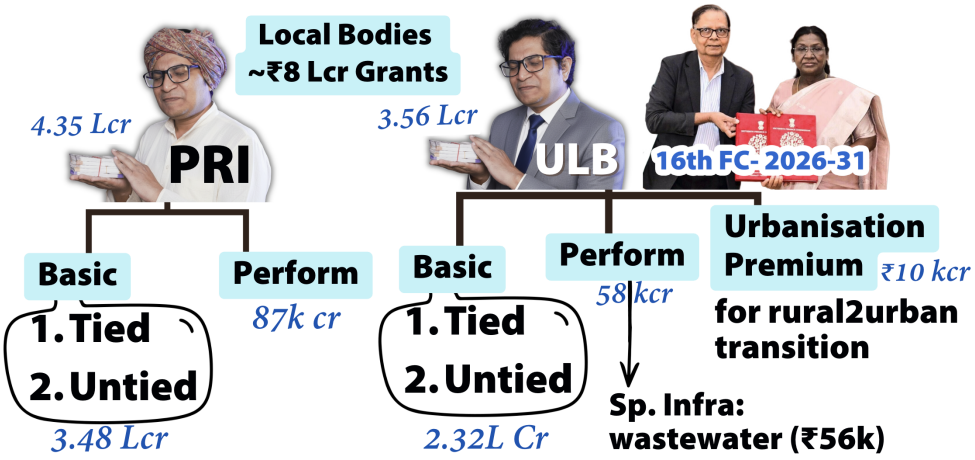
7) (PYQ-GSM3-2019) Enumerate the indirect taxes which have been subsumed in the Goods and Services Tax (GST) in India. Also, comment on the revenue implications of the GST introduced in India since July 2017. (उन अप्रत्यक्ष करों को गिनाइए जो भारत में वस्तु एवं सेवा कर में सम्मिलित किये गए हैं | भारत में जुलाई २०१७ से क्रियान्वित (जी. एस. टी) के राजस्व निहितार्थों पर भी टिपण्णी कीजिए |) Ans. Prelims Handout.
8) Examine critically the apprehensions surrounding the GST compensation to the States. What measures have been taken by the Union Government in this regard. (राज्यों को जीएसटी मुआवजे देने संबंधित आशंकाओं की जांच करें। इस में केंद्र सरकार द्वारा क्या उपाय किए गए हैं?)
9) "Is GST a boon or a bane?" examine critically from State governments' perspective. "क्या जीएसटी एक वरदान या अभिशाप है?" राज्य सरकारों के दृष्टिकोण से गंभीर रूप से जांच करें।
10) Critically examine the impact of GST 2.0 on Indian Economy. (जीएसटी 2.0 की भारतीय अर्थतंत्र पे असर।)
11) "Is GST a boon or a bane?" examine critically from the small traders' perspective. छोटे व्यापारी
12) With respect to ease of doing business in India, discuss the importance of following (1) E-Way Bill System (2) Authority for Advance Ruling. भारत में व्यापार करने में आसानी के संबंध में, निम्नलिखित के महत्व पर चर्चा करें (1) ई-वे बिल प्रणाली (2) अग्रिम फैसलों के लिए प्राधिकरण (Hint: given in prelims handout)

23 FINANCE COMMISSION (वित्त आयोग)

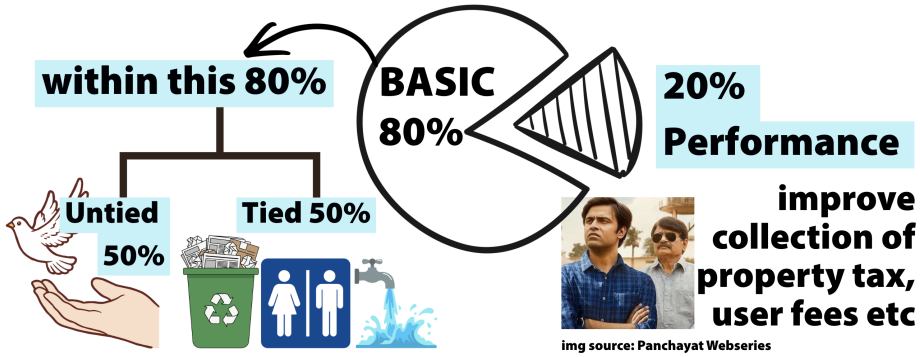
- Note: **FC formula,** membership etc. truckload of facts already done in Prelims HDT.
- I'm deleting 15th FC ke charts/PYQ Ans bcoz its outdated after 16th report.

- Fiscal Federalism refers to the division of responsibilities of i) taxation and ii) expenditure between the different levels of the government. (राजकोषीय संघवाद: केंद्र और राज्यों के बीच कराधान और खर्च की जिम्मेदारियों का आवंटन/बटवारा/विभाजन)
- While the 7th schedule assigns many responsibilities to the States but their taxation power is relatively lower than Union's. So, Finance Commission plays a key role in transferring union's revenue resources to the state.. राज्य की कराधान शक्तियां कम है इसलिए वित्त आयोग केंद्र के करो से हिस्सा दिलाता है
- **Article 280:** President of India forms a Finance Commission (a quasi-judicial body) every 5th Year or earlier, with 1 chairman and 4 members. Eligible for re-appointment. Recommendations are not binding on the government but usually not rejected.

23.1.1 15th vs 16th FC:



16th FC Local Bodies Grants are having following components-



15th FC NK Singh: 2020 to 31/3/26	16th FC Dr.Arvind Panagariya: '26-31
Tax Devolution was based on (कर अंतरण) Income Distance (आय में अंतर), Population (आबादी), Area (क्षेत्रफल) Demographic Performance (जनसांख्यिकीय निष्पादन): Forest & Ecology (वन एवं पारिस्थिकी) Tax Effort: (कर प्रयास)	Changed some %, removed tax efforts, added 10% Contribution to GDP to ensure Costal States and Industrialized States are appreciated for their efforts. (औधौगिक राज्यो के भारत के जीडीपी में योगदान को वजन दिया)
Local bodies (₹4.36 Lcr) • Basic vs Performance (बुनियादी/प्रदर्शन आधारित) • Tied vs Untied (60:40) (शर्तों में बँधी /मुक्त) • Health Infra (70kcr) (स्वास्थ्य)	**Local bodies grants (₹8 Lcr)** • Basic vs Performance • Tied vs Untied (50:50) • For some cities: special infra grant & urbanisation premium grants.
Disaster Mgmt. (>1 Lcr) 1) for Union's Fund 2) for State funds	**Disaster Mgmt (₹1.55 Lcr)** 1) State Funds only.
• **Revenue deficit grants** ~3 Lcr to some States • **Sector-specific grants:** e.g.Health (~1 lcr), Agri, Judiciary, Education, Rural Roads, • **State-specific grants** for tourism, monument etc (~50,000 cr)	stopped
Many conditions to get grants released अनुदान के लिए बहुत शर्तें रखी गई थी	**Only 3 conditions:** • State need to setup State Finance Commission in timely fashion. (e.g. Gujarat delay of 9 years, instead of 5 yrs.) • State need to set up local bodies as per the Constitution / conduct election. • Local bodies need to publish audited accounts online.
Many conditions for performance based grants e.g. school's rating in PGI Index, highway's audit, implementing various model laws,	Minimal condition- improve local bodies need to improve their tax collection, user fees on water-sewage etc

15th FC NK Singh: 2020 to 31/3/26	16th FC Dr.Arvind Panagariya: '26-31
improving agri-exports, becoming Self-reliant in oilseed, pulses, wood (प्रदर्शन आधारित अनुदान के लिए बहुत शर्तें रखी)	
Union Govt ke liye Defense & Internal Security Fund (रक्षा और आंतरिक सुरक्षा फंड केंद्र के लिए)	N/A
Grants = ₹10.3 lakh crore	₹9.5 lakh crore
Terms of Reference caused heartburn among States as they imposed Union's vision of Swatchh Bharat, Digital India, Deficit Control, Performance grants, etc (विचारार्थ विषयों में केंद्र की इच्छाओ को ज़्यादा जोर दिया गया, विपक्षी राज्यो ने असंतोष/विरोध जताया था)	Minimal terms of reference, minimal sub-division of grants promoting spirit of cooperative federalism. (बहुत कम बंधन/शर्तें रखी गई है, ताकि संघवाद में सहकार/मिठास बनी रहे)

23.1.2 💸🤲✍️ FC Report: conclusion (निष्कर्ष- उनके रिपोर्ट की सराहना-की बहु बढ़िया रिपोर्ट बनाया है)

✓ Sustainable Development **Goal#10:** ⬇️ inequality within the country. **SDG-Goal#16** requires nations to build effective, accountable and inclusive institutions at all levels. (सतत विकास लक्ष्य: असमानता को कम करो | लोक प्रशासनके सभी स्तरो मे संस्थानो को प्रभावी, जवाबदेह और समावेशी बनाओ)

✓ In this regard, **FC has tried to provide a framework for**

- **1)** equitable distribution of revenue 2) incentives tied with performance. ऐसा ढांचा जहा 1) कर-वितरण समानता के साथ और 2) प्रोत्साहन प्रदर्शन के हिसाब से मिलेगा

✓ It'll greatly help to improve India's human dev+ eco dev. मानव विकास और आर्थिक विकास मे मदद

23.2 💸🤲 FC = STATISTICAL JOB?

(PYQ-PubAD) Finance Commission in India performs the job of statistical aggregation. Comment (भारत में वित्त आयोग सांख्यिकीय एकत्रीकरण का कार्य करता है)

- First of all, I don't fully agree with the statement because the work of finance commission is much more than mere statistical aggregation.
- Yes, it has to collect the data related to following indicators for designing, i) tax-devolution formulas and ii) grants formulas. Such as

Indicator in tax devolution formula	Indicator is used in designing grants
- GSDP, poverty - Population, total fertility rate - Tax collection / tax efforts - Area, Environment ecology	- Frequency of natural disasters - Revenue deficit of the state - Education, judicial case pendency, rural roads etc. - Number of ULB / panchayats - healthcare indicators.

👋✍️**Conclusion?** Thus, finance commission has to collect variety of statistical data sets before recommending tax devolution formula and grants. So, we can say it performs the job of statistical aggregation.

23.3 👨‍⚖️♂(🍋👦⚖️👨‍🦲)⏰ FC: GIVING PERMANENT STATUS (स्थायी दर्जा देना)



Figure 1: CAG-UPSC जेसी कायम चालू रहेने वाली संस्था बनाओ FC को- तभी ठीक से काम होगा- शक्तिकांता

(Introduction: Origin) Shaktikanta Das, the Governor of RBI and a member of the 15th Finance Commission (FC), had recommended giving a permanent status to the FC, wherein the old commission continues to implement & monitor the recommendations till the next commission starts functioning. (जब तक नया वित्त आयोग नहीं बनता पुराने वित्त आयोग की ऑफिस खुली रखनी चाहिए)

23.3.1 🤦‍♂👎Arguments against giving permanent status to FC (विरोध में तर्क)

- ✖ Indian economy and Indian union has functioned successfully for over 70 years with this mechanism, so there is **no need for such constitutional amendments and experimentations**. (वर्तमान व्यवस्था योग्यरूप से चल रही है, नए संवेधानिक प्रयोगो की कोई जरूरत नही)
- ✖ Both NITI Aayog and GST Council provide a platform for cooperative federalism (सहकारी संघवाद की चर्चा के लिए मंच उपलब्ध).
- ✖ Further, we **already have the CAG** to audit the accounts of the Union and the States.
- ✖ Therefore, Giving permanent status to FC= **duplication of efforts.**(प्रयासों का व्यर्थ दोहराव)
- ✖ Even if the FC given a permanent status ⟶ states ruled by **opposition parties will continue to allege injustice & partiality**, just like they allege with the functioning of Election Commission.
- ✖ Then, the Union Finance Ministry's precious time will be wasted in filing counter-responses to the States at FC. (वित्त आयोग पूरा समय राज्यों की फरियाद सुनता रहेगा और केंद्र सरकार उसी के जवाब देने में लगी रहेगी)

23.3.2 🙋‍♂👌Argument in favour of giving permanent status to FC (पक्ष में तक)

- ✓ Election Commission has a **permanent status** even though elections are to be conducted every 5 years. Previous Lok Sabha's speaker continues to hold position until new Lok Sabha meets for the first time. Following this rationale, Shaktikanta Das's suggestion that "*Previous Finance Commission should continue to function & oversee the implementation of its recommendations until new FC is formed*" is valid. (चुनाव तो 5 साल में एक बार होते हैं फिर भी चुनाव आयोग की ऑफिस खुली रहती है)
- ✓ Finance Commission recommendations are valid for a **block of 5 years.** Even if there is a war, disaster, famine or an economic crisis which may affect the revenue collection of the union vs. the demands by the States, still, the FC-formula/recommendations cannot be modified/finetuned **in-between the five years**. So, even if Union/states are feeling any injustice in the FC-formula, they **have to wait for five years** to make pleas to the next Finance Commission.
- ✓ If FC has a permanent secretariat/office = staff will keep all the records/ Knowledge bank for future reference, and a few officers will act as **'Resource Persons'** to assist the new panel. Then, there will be more consistency in the FC recommendations. (जानकार स्टाफ का तबादला हो जाता है)
- ✓ Such permanent body can keep a **constant vigil (अविरत सतर्कता)** on the Union and State finances & revenue collections and hold them accountable for any transgressions or lethargy (उल्लंघन / सुस्ती). [*Present approach of the union governments is if they are not getting enough taxes, they will simply*

borrow more money and changing the FRBM targets/goalposts as per their convenience. More under Pillar2D:FRBM handout]

✓ Previously, Union and States designed their five-year plans, and so it made sense to have a 'five-year formula for tax distribution'. But now the five-year planning system has been discontinued. पंचवर्षीय योजनाओं का दौर खत्म हो चुका है, इसी हमने 5-5 वर्ष के मानसिकता से निकलकर निरंतर निगरानी रखनी चाहिए

23.3.3 Conclusion: give permanent status to FC or not? (निष्कर्ष)

⇒ ✅**(In-favor)** Considering the aforementioned benefits, Finance Commission should be given a permanent status for better monitoring, accountability, grievance redressal in the matters related to fiscal federalism. (राजकोषीय संघवाद के मामलों में बेहतर निगरानी, जवाबदेही और शिकायत निवारण के लिए वित्तआयोग को स्थायी दर्जा देना लाभकारक होगा.)

⇒ ✋**(Against)** Considering the aforementioned issues, the present constitutional and institutional mechanisms are adequate for fiscal federalism; they do not merit any changes for the time being. (वर्तमान प्रणाली सुयोग्य, फ़िलहाल कोई परिवर्तन अनावश्यक)

23.4 VERTICAL FISCAL IMBALANCE- MEANING (ऊर्ध्वाधर वित्तीय असंतुलन)

- A fiscal imbalance occurs when a government's future debt obligations don't align with its future revenues.
- A vertical fiscal imbalance occurs when income does not match expenditures for different government levels, i.e., Union, States, Local Bodies. (जब सरकार की अलग अलग स्तर पर आमदनी और ख़र्च के बीच असंतुलन हो तो ऊर्ध्वाधर वित्तीय असंतुलन का निर्माण होता है.)
- It makes the States heavily dependent on the Union for funds. (राज्यो की केंद्र पर निर्भरता बढ़ती है.)

23.4.1 Vertical Fiscal Imbalance : Factors Responsible

Union	*States*
N/A	Due to electoral implications, most states do not impose taxes on agricultural income, even for large farmers. (चुनावों की चिंता में राज्य सरकार कृषि आय पर आयकर लेती नहीं।)
The Union earns over 20 lakh crore from direct taxes such as income tax and corporation tax. (आयकर और निगम कर जैसे प्रत्यक्ष करों से केंद्र सरकार मोटी रक़म कमाता है।)	Constitution prohibits States from demanding more than Rs. 2500 as professional tax per year. (राज्यो के व्यावसायिक कर पे संवैधानिक मर्यादाएं है कि ढाई हज़ार रुपये से ज़्यादा ले नहीं सकते।)
The Union earns over ₹ 2 lakh crore from customs duty on imports and exports.	States do not have this power. (आयात निर्यात पर सीमा शुल्क लगाने का हक़ केवल केन्द्र का है।)
Union's cess, surcharge not shared with the states. Over the years, the Union has created multiple cesses and surcharges to capture a significant chunk of revenue for itself. (केंद्र विविध उपकर और अधिभार में से राज्यों को हिस्सा नहीं देता।)	Problems related to the timely release of GST compensation cess by the Union. (जीएसटी मुआवजे के साथ विविध समस्याए है।)

23.4.2 🍋⚖️😟 Vertical Fiscal Imbalance : Negative outcomes (नकारात्मक परिणाम।)

- Neglect of civic infrastructure, roads, schools, hospitals, etc. (सड़क विद्यालय अस्पताल जैसी बुनियादी सुविधाओं की कमी / अवहेलना)
- Lengthy court litigations between unions and the states regarding taxation powers. (कराधान की सत्ताओ के बारे में केंद्र और राज्यों के बीच मुकदमेबाज़ी।)
    - e.g. (A) Do state governments have a right to tax mining activity? Can we consider royalty as a tax? (क्या खनन पे राज्य अलग से कर/टैक्स माँग सकता है?)
    - (B) Do state governments have the same right to charge cess on companies producing hydroelectricity? (जल विद्युत पैदा करने वाली कंपनियों पर क्या अलग से राज्य कर माँग सकता है?) (Ref: Prelims Pillar#2A2/GST for more.)
- Such litigations create business uncertainty for companies in the mining and hydroelectricity sectors and also affect foreign investor sentiment. (यह ऐसी मुक़दमेबाज़ी से व्यापार में सुगमता कम होती है, विदेशी निवेशक प्रोत्साहित नहीं होता।)
- Delays in the recruitment of employees in the state services. Staff shortages are damaging the efficiency of public administration, especially for grassroots functionaries such as Aasha workers, primary teachers, forest guards, constables, etc. (राज्य सेवाओं में नियमित रूप से भर्ती प्रक्रिया नहीं हो पाती, प्रशासनिक कार्य दक्षता कम होती है।)
- Shortage of police personnel → Rising incidents of rapes, atrocities on SC/ST, etc. (पुलिस बल की कमी के चलते बलात्कार, कमजोर वर्गों पे अत्याचार में बढ़ोतरी।)
- Recruitment of contractual (non-permanent) staff on very low fixed salaries. Wages are not revised/increased for a very long time, even after rising inflation. Then the employees have to go on strikes/protests/court litigations. e.g. (अस्थाई कर्मियों को बहुत कम वेतन पे रखा जाता है, बिना आंदोलन और मुकदमेबाजी के उनकी तनख़्वाह/वेतन में बढ़ोतरी नहीं होती।)

Approx. salary	*Before*	*After (2024)*
Gujarat Teachers	~ ₹ 16,000	~ ₹ 21,000
Telangana Aasha workers	~ ₹ 7500	~ ₹ 10,000

With such a low salary, it is difficult to imagine a government employee working with full motivation and a corruption-free mindset= direct negative consequences on good governance and a corruption-free administration. (इतने कम/मामूली वेतन पे रखे गये सरकारी कर्मी से भ्रष्टाचार-मुक्त आचरण की उम्मीद/अपेक्षा मुश्किल है।)

23.4.3 🍋⚖️✍️ Conclusion: (निष्कर्ष)

- As per the 7th schedule of the Indian Constitution, the responsibility of law and order, public health, and agriculture rests with the States.
- Education is in the concurrent list, but, due to the large population of India, States are responsible for doing the heavy lifting by running government schools and colleges.
- Without adequate fiscal resources, it is difficult for the States to deliver high-quality services in these areas of health, education, and policing.
- Need to address the problem of Vertical Fiscal Imbalance on war footing for SDG goals.

(क़ानून-व्यवस्था, सार्वजनिक-स्वास्थ्य, कृषि और शिक्षा की ज़्यादातर ज़िम्मेदारी राज्य सरकारों के सर पर है। बिना पर्याप्त वित्तीय संसाधनों के बाद वे इसे नहीं उठा पाएंगे और सतत् विकास लक्ष्यों को हासिल करने में बाधा खड़ी होगी।)

23.5 ✍️ Mock Questions for Mains: Finance Commission

1) (PYQ-PubAD) Finance Commission in India performs the job of statistical aggregation.



Comment (भारत में वित्त आयोग सांख्यिकीय एकत्रीकरण का कार्य करता है)

2) (PYQ-GSM2-2021) How have the recommendations of the 14th FC enabled the States to improve their fiscal position? [भारत के 14वें वित्त आयोग की संस्तुतियों ने राज्यों को अपनी राजकोषीय स्थिति सुधारने में कैसे सक्षम किया है ?] [We'll not solve it because 14th FC too outdated.]
3) Compare and contrast the horizontal tax devolution approaches of 14th FC vs 15th FC क्षेतिज कर अंतरण के सिध्द्धांतों मे 14वा और 15वे वित्तआयोग की समानता व भिन्नता की तुलना कीजिए (Ref: Prelims handout)
4) Enumerate the grants suggested by 15th FC. अनुदानों की सूची दीजिए।
5) Examine the rationale behind adding performance based indicators in the grants given by the 15th finance commission. (15वें वित्त आयोग द्वारा दिए गए अनुदान में प्रदर्शन आधारित संकेतक जोड़ने के पीछे के तर्क की जांच करें।)
6) "The constitution of GST Council has reduced the role of Finance Commission as the balancing wheel of fiscal federalism in India." Do you agree?("जीएसटी परिषद के गठन ने वित्त आयोग की भारत में राजकोषीय संघवाद के संतुलन में भूमिका को कम कर दिया है।" क्या आप सहमत हैं? अपने तर्क को उचित ठहराएं।)
7) Examine critically the merits of giving a permanent status to the finance commission. वित्त आयोग को स्थायी दर्जा देने (के सुझाव) की योग्यता की गंभीर समीक्षा कीजिए.
8) Discuss the factors and consequences of Vertical Fiscal Imbalance in India. (भारत में ऊर्ध्वाधर वित्तीय असंतुलन के कारकों और परिणामों की चर्चा करे।)

24 😈 Black Money (काला धन, कर चोरी)

(DATA#1) Since 2016, India's Tax : GDP has remained mostly stagnant at 11%. It is lowest among the BRICS Nations. Hardly 2.3% of Indian voters are income tax payers. (भारत का 11% कर:जीडीपी अनुपात बहुत कम/मामूली है अन्य देशों के मुक़ाबले। मुश्किल से 2% मतदाता ही आयकर भरते है।)

(DATA source: GOOGLE AI)	Brazil	Russia	India	China	South Africa
% of voters who pay income tax	20%	35%	Less than 3%	7.1%	24%
Tax to GDP Ratio (approx)	28%	17%	11-12%	22%	25%

24.1.1 🍋🥛 Tax: GDP – why low in India (भारत का कर:जीडीपी अनुपात खराब क्यों है?)

1) Lack of civic sense among people that paying taxes is a basic duty. (देश के प्रति कर्तव्य की भावना नहीं)
2) Presence of informal sector, parallel economy, cash based economy provides ample opportunities of hiding income. (नगदी आधारित अनौपचारिक अर्थतंत्र)
3) Low per capita income, high level of poverty. Concentration of income in the hands of few people- who are greedy to engage in tax evasion & avoidance. (देश की ज्यादातर संपत्ति चुनिंदा लोगों के हाथों में केंद्रित, जो लालच में कर जमा नहीं करते)
4) Election funding → source of corruption → black money. Politician-Builders-Mafia nexus.
5) Due to political considerations, state govts and local bodies do not levy all the taxes authorised by the constitution e.g. tax on agricultural income. So our (direct) tax base is narrow. [Tax base: कराधार means the total value of all the persons/income/property, etc. on which tax is charged.]
6) Loopholes in the tax laws encourage tax avoidance (कर कानूनों में खामियां)

7) Direct taxes like wealth tax, gift tax and estate duty suffered from loopholes, lax monitoring and evasion. They didn't yield much revenue. Hence even referred as '**paper taxes**', and had to be abolished ultimately. (कागजी कर जिनसे वास्तव में नाम मात्र की आमदनी होती थी)

8) Too many exemptions/ high level of rebate e.g. practically 0% income tax for annual income upto ₹12 lakh under the New Tax Regime (NTR) in 👛Budget-2025.

24.2 📘📘Economic Survey on Taxation and Fiscal Capacity (वित्तीय क्षमता)

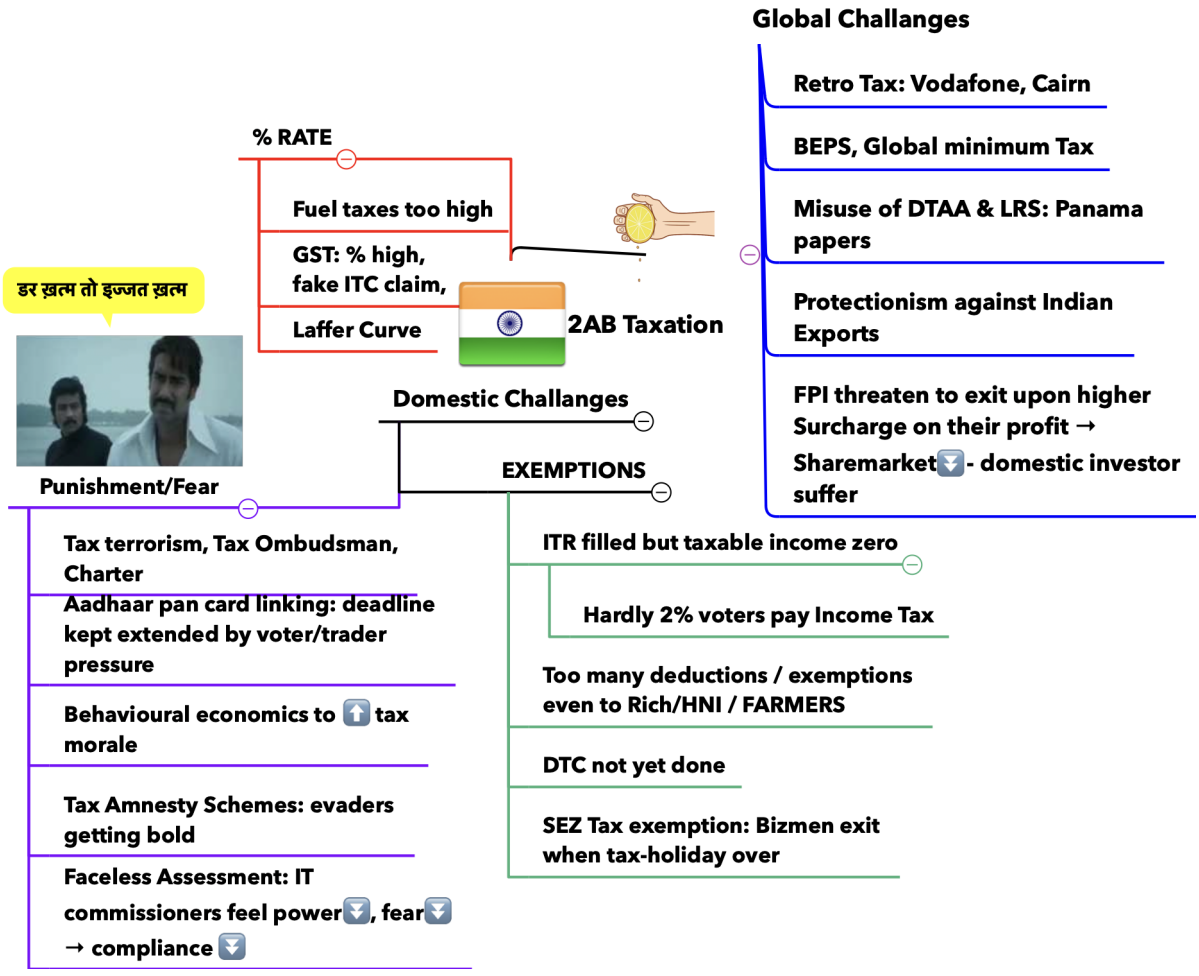
The Economic Surveys of 2015, 2016, 2017 have repeatedly observed that

- Democracy is a contract. Taxation is the economic glue that binds government and citizens into this contract. (लोकतंत्र एक अनुबंध है, कराधान एक आर्थिक गोंद है)
- But, whenever govt delivers poor quality of service in public schools, hospital etc. → middle class & rich citizens will "EXIT" towards the pvt school & hospitals → Then they feel 'moral right' to evade / avoid taxes, bcoz, they are no longer using public services.
- **Result?** hardly 2.3% of Indian voters are pay Income Tax (23% is desirable, as per our level of development against BRICS nations. भारत के केवल 2.3% मतदाता करदाता है)
- Govt gets less taxes → poor fiscal capacity → poor services → vicious cycle continues and results in ⏬ of govt's accountability towards citizens. (सरकार की जवाबदेही कम होती है)

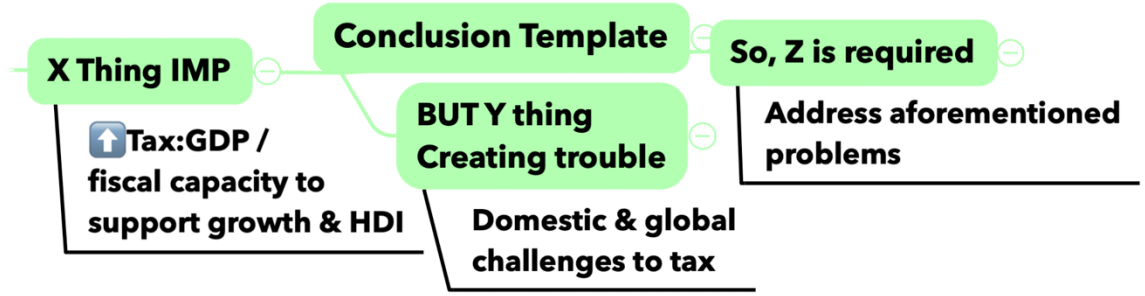
24.3 😈 Definitions related to Black Money

Black Money (काला धन)	It is an income or transaction that is taxable yet NOT reported to the tax authorities concealed from the tax authority. कालाधन ऐसी आय/लेनदेन है जो की कर-पात्र है, किन्तु कर-अधिकारियों से छिपाई गई.
Parallel Economy	The economy that runs on black money. (समानांतर अर्थव्यवस्था जो काले धन पर चलती है)
👺**Tax Evasion** (कर अपवंचन कर-चोरी)	When person hides income or transaction from tax authorities, and thereby evades paying taxes. It's illegal. (कराधान योग्य आय या लेन देन को सरकार से छिपाना)
👨🍸**Tax Avoidance** (कर परिहार कर-टालना)	When person discloses his income and transactions to tax authorities but uses legal loopholes to avoid paying taxes. E.g. Bollywood stars who register digital media companies in Tax Havens. It may not be illegal in every case, but still unethical. (कराधान योग्य आमदनी या लेनदेन को सरकार से छिपाना नहि, लेकिन क़ानून मे छिद्रों के इस्तेमाल द्वारा कर को टालना जाना।)
🍸**Tax Haven** (कर स्वर्ग) एसा देश जहां कर टालने / छिपाने के लिए बहुत अवसर मिलते हैं	Is a country that demands little taxes from foreigners and offers legal loopholes for Tax Avoidance & opportunities for Tax Evasion. E.g. *Liechtenstein, Mauritius, Marshall Islands, Cayman Islands, Panama, Nauru, Vanuatu etc.* These countries are geographically small, & without viable economy. So they offer such mechanism to attract foreign investors and foreign tourists.
👺→👨**Money laundering**	⇒ When drug trafficking, ransom, corruption and other criminal activity generates substantial profits, the criminal tries to spend / invest / hide the

(गैरकानूनी तरीके से प्राप्त धन को वैध बनाना)	money without attracting attention. ⇒ **Money laundering** (धनशोधन) is the process of disguising the source of money, as if it came from a legitimate activity, & then channelize it into banks, share market and other financial intermediaries.
Organizations	⇒ Enforcement Directorate (प्रवर्तन निदेशालय), Income Tax Department, Financial Action Task Force (Grey List), etc.



24.3.1 ✍️ Conclusion:



24.3.2 👨‍🍸 Tax on the rich / billionaires (अमीरों पर कर)

India	Counter Argument
India abolished wealth tax (2016)	A 2% wealth tax on all the billionaires of the world

India	Counter Argument
संपत्तिकर को हटा दिया गया था	would generate nearly $250 billion from less than 3,000 individuals- says an organisation European Union Tax Observator. (2023)
India abolished Estate duty (Inheritance tax) in 1985 **विरासत-कर को हटा दिया गया था**	Samsung Group Chairman Lee Kun-hee dies. His family members had pay a world-record inheritance tax of $10.3 billion to the Govt of South Korea (2010)
Tax on agriculture income falls under the domain of state government but they usually do not charge it to keep farmers happy.	Megastar Billionaire Amitabh Bachchan (registered as farmer in Uttar-Pradesh) should be subjected to such tax on his agricultural income. (अमिताभ जैसे अमीर किसानों की कृषि आय पर तो कर लगना चाहिए.)

24.4 Wealth Tax / Inheritance Tax / Estate Duty

(Origin) During the 2024 Lok Sabha election campaign, there have been debates around
1) conducting a wealth survey and undertake an exercise to redistribute the same. (संपत्ति सर्वेक्षण करेंगे और लोगों में उसके पुनर्वितरण के लिए क़दम उठाएंगे)
2) introducing an inheritance tax similar to USA. (अमेरिका की भाँति एक विरासत-कर लाएंगे)

data:

- A 2% wealth tax on all the billionaires of the world would generate nearly $250 billion from less than 3,000 individuals, says the organization European Union Tax Observatory (2023).
- Samsung Group Chairman Lee Kun-hee died. His family members had to pay a world-record inheritance tax of $10.3 billion to the Government of South Korea (2010).

24.4.1 Wealth Tax: Past XP & its Abolition

	Estate Duty /inheritance tax/death tax विरासत कर	Wealth-tax सम्पति-कर	Gift Tax भेंट-कर
What?	From 1953 onwards: when property owner dies, his legal heirs pay this tax. Rates: 5%-40% depending on value of property/estate	when owner is alive, he has to pay this tax. Rate: 1% wealth tax on assets of Rs 30 lakh and above	From 1958: Gift tax whenever person received gift valued more than Rs."X".
Abolished when?	Budget-1985 (FM VP Singh)	Budget-2015 (FM Arun Jaitley)	Budget-1998 (FM-Yashwant Sinha)

Reason for abolishing these taxes?

- The revenue collection was very low, and the administrative cost of collection was very high. so they were called 'paper-taxes'. (काग़ज़ी कर, जिसमें न कोई ख़ास आमदनी नहीं, और इसे वसूलने का प्रशासनिक ख़र्चा काफ़ी ज़्यादा।)
- Scope of evasion by undervaluation of property. (सम्पति का मूल्य कम दिखा के कर चोरी।)

24.4.2 Arguments in favor of wealth/inheritance tax

- In the last decade, minimum wages have not increased corresponding to the level of inflation, so imposing more taxes on the middle class will only destroy their purchasing power. A wealth tax on the rich is justified because we cannot increase the income tax on the middle class. (विगत दशक में महँगाई के अनुपात में न्यूनतम वेतन में ख़ास बढ़ोतरी नहीं हुई है इसलिए मध्यम वर्ग पर ज़्यादा आयकर उचित नहीं होगा अमीरों पर ज़्यादा टैक्स लगाना ज़रूरी।)
- The poor pay indirect taxes such as GST/VAT/Excise. We should not increase their hardship by increasing these taxes further. (ग़रीब पहले ही अप्रत्यक्ष करों में दबा है)
- In the USA, UK, and Australia, rich people are subjected to a tax slab of ~40%. In India, they are subjected to 30%. So we should increase it. (प्रथम विश्व में अमीरों पे उच्चतम 40%आयकर लगता है भारत में 30% ही लगता है।)
- The Government of India requires more financial resources to expand facilities of higher education, health, infrastructure, etc., so it needs to collect more taxes. (उच्च शिक्षा स्वास्थ्य बुनियादी और संरचना आदि के लिए सरकार को अधिक वित्तीय संसाधनों की ज़रूरत है)

24.4.3 Arguments against wealth/inheritance tax

- Socialist models of income/wealth redistribution have failed miserably in Argentina, Venezuela, Cuba, etc. They discourage private entrepreneurship → low production → inflation, unemployment, outward migration towards the USA, etc. Therefore, private property rights need to be respected. (संपत्ति और आय का पुनः वितरण करने के लिए समाजवादी मॉडल जिन जिन देशों में अपनाए गए वे असफल हुए हैं चाहे आर्जेन्टीना वेनेज़ुएला या क्यूबा क्योंकि वहाँ पर निजी उद्यमी हतोत्साहित होते हैं, उत्पादन में गिरावट, महंगाई में बढ़ोतरी, बेरोज़गारी, विदेशों में पलायन बढ़ता है)
- Previous governments have already removed estate duty, wealth tax and gift tax because of the difficulty in their collection and the scope for evasion. So there is no need to restart the failed experiments. (पिछली सरकारों ने वैसे भी इन घरों को हटा दिया था क्योंकि इसमें आमदनी कम होती थी और करचोरी ज़्यादा. ऐसे प्रयोग जो पहले ही और सफल हो चुके हैं उन पर पुनः विचार की ज़रूरत नहीं है।)
- Past failure in imposing land ceiling—because landowners redistributed the land among their children/relatives/benami persons to avoid getting into the ceiling limit—indicates similar mischief is likely. Yes, today with the facilities of digital surveillance, cross-referencing of Aadhar/PAN vs. landownership, etc., it is difficult for a person to evade/avoid tax, but it will still increase the number of litigations in court. (एक ज़माने में जब लोगों की ज़मीन मालिक की पर सरकार ने सीलिंग /उच्च सीमा लगाने की कोशिश की, तब भी ज़मीन मालिकों ने अपनी संपत्ति को रिश्तेदारों में/ बेनामी लोगों में बाँट दिया, और क़ानूनी दाँव पेच लगाके ख़ुद को बचा लिया था।)
- Even in the USA, the rich manage to evade such wealth/inheritance tax by setting up trust funds and transferring assets into them. (अमेरिका में भी अमीर लोग एक अलग ट्रस्ट बना कर उसमें अपनी संपत्ति को स्थानांतरित कर के इस टैक्स/कर से बच जाते है।)
- A person already paid tax on their income when they were alive. After their death, if the same income is taxed again, then it's double taxation on the same income, which is not justified. (हम अपने जीवन काल के दौरान व्यक्ति ने अपनी आय पर आयकर भर दिया है, और सम्पति में निवेश किया है। अब दोबारा उसके मरने पर उसी संपत्ति पर टैक्स माँगा जाए तो ये दोहरा कराधान है, उचित नहीं है।)

- Laffer Curve: A high level of direct taxes will either make people lazy/demotivated to work harder / encourages tax evasion. (प्रत्यक्ष कर की उच्च दरें लोगों को आलसी बनाती है, मेहनत करने के लिए प्रोत्साहित नहीं करती. कर चोरी के लिए प्रोत्साहित करती है)
- If rich people are taxed heavily, they may change citizenship to tax-haven nations, as many Indian businessmen and film stars have already done. (अमीर भारत की नागरिकता त्यागकर विदेशी कर-स्वर्गों की नागरिकता अपना लेंगे। कई उद्योगपति और फ़िल्म सितारों ने ये पहेले ही किया हुआ है।)
- Violates Adam Smith's Canon of Certainty: because when a person will die is not certain. So it does not help the government in projecting the annual revenue and budgeting exercise.(व्यक्ति तब मरेगा और तब उसकी संपत्ति पर हमें टैक्स मिलेगा इसकी कोई निश्चितता नहीं । इसलिए यह कर सरकार को भविष्य के आयोजन में मदद नहीं करती। यह कर ऐडम स्मिथ की आदर्श कराधान की 'निश्चितता के सिद्धांत' का उल्लंघन करता है।)
- Without addressing the core issues of corruption, subsidy leakage, and shoddy quality of infrastructure/public works (e.g., Bihar bridges collapse, Delhi airport pillar collapse, etc.), the money collected through such inheritance/wealth tax will only line/fatten the pockets of politicians, bureaucrats, and contractors. (जब तक भ्रष्टाचार, सब्सिडी रिसाव और सड़क पुल निर्माण में घटिया सामान के प्रयोग को रोका नहीं जाएगा। तो इस प्रकार के टैक्स से मिले धन से केवल राजनेता, अफ़सर और ठेकेदारों की जेबें ही भरेंगी। देश/ग़रीब का कोई कल्याण नहीं होगा।)
- Tax on agricultural income falls under the domain of state governments, but they usually do not charge it to keep farmer-voters happy. Megastar billionaire Amitabh Bachchan (registered as a farmer in Uttar Pradesh) should be subjected to such tax on his agricultural income first! (वोट बैंक को ख़ुश रखने के चक्कर में राज्य सरकारें जो अमीर किसानों पर आयकर नहीं लेती, पहले वो काम तो शुरू करें।)

24.4.4 🍆🍋 Conclusion on wealth tax / inheritance tax

- **Favour**: Considering the above factors, we should impose taxes on the wealth and inheritance of the rich to deal with the problem of rising inequality in the country. We can adopt the model suggested by Economist Thomas Piketty, i.e., (1) 2% wealth tax on people earning over ₹10 crore, (2) 33% inheritance tax upon their death. (हाँ उक्त दलीलों को ध्यान में रखते हुए और देश में बढ़ती हुई और समानता को देखते हुए इसे लागू करना चाहिए। 1000,00,000 से अधिक रुपये कमाने वाले अमीरों पर २% वेल्थ-टेक्स/संपति कर और उनकी मृत्यु पे ३३% विरासत कर लगाना चाहीए- जैसा कि अर्थशास्त्री थॉमस पिकेटी ने सुझाव दिया।)
- **Against**: Considering the above challenges & failed experiments in the past, we should explore other ways to expand both the tax base and the revenue collection first, before imposing such new taxes. (उक्त चुनौतियां और भूतकाल में विफल हुए प्रयोगों को देखते हुए हमने इस प्रकार के नई दरों को लागू करने से पहले अन्य तरीक़ों से कर-आमदनी को बढ़ाने की कोशिश करनी चाहिए।)

24.5 😈 Money laundering & PMLA Act

- (Definition) money laundering is the process of converting black money into white. (काले धन को वैध या सफ़ेद बनाने की क्रिया को धन शोधन कहते हैं)

Prevention of Money Laundering Act (PMLA) 2002, aims to combat it using following ways:

- PMLA increases the power of enforcement directorate, financial intelligence unit and other agencies.
- PMLA requires the financial institutions (Bank NBFC etc) to report suspicious transactions to the respective financial regulators (RBI, SEBI etc) / government. (संदिग्ध लेनदेन के बारे में सूचना देनी होगी)

- Allows Indian government to enter in international agreements against money laundering.
- Minimum 3 years to max 10 years jail. And then as per Representation of the People Act (RPA Act)- 2 year jail = person is banned from contesting elections for six years. (न्यूनतम 3 साल की जेल यानी अपने आप ही वो भविष्य में 6 साल तक चुनाव नहीं लड़ पाएगा)
- Confiscation / attachment of the property. (संपत्ति की जब्ती)

24.6 Money Laundering / PMLA Challenges



24.6.1 Money Laundering: Global Challenges (वैश्विक चुनौतियां)

- Financial action task force was setup to combat money laundering and tax evasion.
- 2008: Pakistan was first added in the grey list of FATF (and then again in 2018)
- And accordingly, it was subjected to certain international sanctions / restrictions until it fixed its legal-administrative loopholes that allowed money laundering / terror finance.
- 2022: Pakistan removed from grey list after complying with all the regulations of FATF.
- Thus over a decade of international pressure was required to just fix one country that was supporting money laundering. And there are still many other countries / tax havens left in the grey list and black list. (एक दशक तक अंतरराष्ट्रीय दबाव बना रहा तब जाकर पाकिस्तान ने धन शोधन और आतंकी वित्तपोषण के खिलाफ़ सख्ती दिखाई)
- Tax haven nations provide opportunities for money laundering. Coordinated global action required but many multinational companies themselves are beneficiaries of tax haven, so they could be doing some lobbying / political funding in the developed nations to avoid strict sanctions. (बहुराष्ट्रीय कंपनियां खुद ही कर-स्वर्ग में मुख्यालय बनाती है तो इसमें आश्चर्य नहीं होगा कि विकसित देशों में वे राजनीतिक पक्षों को चुनावी फंडिंग देकर ऐसे कर-स्वर्ग देशों के खिलाफ़ हो रही सख्त कार्रवाई को धीमा करवातें होंगे)
- The Indian government raised ₹35,104 crore in tax demand under the Black Money Act of 2015, but only recovered ₹338 crore from 2015 to 2025 due to lengthy legal battles and inadequate cooperation from foreign nations. (विदेशों में छुपाएँ काले धन के ख़िलाफ़ काफ़ी मुक़दमे दर्ज लेकिन वसूली बहुत कम)

24.6.2 Money Laundering: Legal Challenges (कानूनन चुनौतियां)

- If the accused person runs away to foreign country difficult to get him extradited (विदेश से प्रत्यार्पण)
- Cases drag for years / Accused person runs away to foreign country / dies in jail before revealing real masterminds e.g. Abdul Karim Telgi. (न्यायिक विलंब)
- income tax act exempts political parties, religious bodies and charitable institutions from paying

income tax. ⟶ it creates an ecosystem for money laundering through donation.

- Nexus/need of black money to win election = deter political parties to be as a strict against money laundering compared to strictness with terrorism. (चुनाव जीतने के लिये काले धन की जरूरत)

24.6.3 😰Money Laundering: Technological Challenges (प्रौद्योगिकी की चुनौतियां)

- Crypto currency transactions difficult to trace. (Although now crypto-companies also required to report suspicious transaction to the government, but difficult to enforce this on the companies located outside India.)
- Darknet / self deleting encrypted messages / iPhone auto-erase / variety of chatting apps etc. have made the communication more easy for the criminals and difficult for the law enforcement. (गुप्त मैसेज प्रणालियाँ)

24.7 😈 MONEY LAUNDERING IS BAD WHY? (देश के लिए क्यों खराब है)

24.7.1 😈 Threat to national security (राष्ट्रीय सुरक्षा के लिए खतरा)

- Augments the power of terrorist, criminals and corrupt people.
- Revenue loss to exchequer = Government cannot spend enough on infrastructure, health, education, human development schemes. Consequently, (सरकार शिक्षा स्वास्थ्य आदि दुरुस्त न कर पाए)
- Unemployed Youth in Naxal/LWE/JK/NE areas easy prey to anti-India propaganda = threat to India's sovereignty, national integrity, security. (बेरोजगार युवाओं को देश के खिलाफ़ भड़काया जाए)

Literacy	Census-2011
All India	74%
Manipur	79%
Mizoram, Sikkim, Nagaland, Tripura	over 80%

- So North East youth is educated, but there is lack of jobs / biz opportunities ⟶ pushes some of them towards the Anti-India Propaganda / extremism / migrate towards other cities/nations.

24.7.2 😈 Threat to human development (मानव विकास के लिए खतरा)

- Low tax collection = low quality of education and infrastructure in government schools and hospitals ⟶ middle-class family becomes more reliant on private sector and then middle class feels cynical about paying taxes and look for opportunity to do tax evasion for themselves. (मध्यम वर्ग मी निराशावाद)
- Low tax collection = teachers recruited on fixed salary contracts and made to do many other tasks such as election, NSO surveys, welfare scheme registration, vaccination drives etc. Since the government cannot recruit dedicated employees for each of these tasks. = Quality of education surfers. (पैसों की किल्लत के चलते शिक्षकों से अनेकों काम करवाया जाए इसलिए शिक्षा का स्तर गिरता है)
- WHO recommends India to spent 5% of GDP on healthcare. Yet we struggle to reach even 2.5%
- Human development index cannot improve. Vicious cycle of poverty continues. (ग़रीबी का विषचक्र)

24.7.3 😈 Conclusion- money laundering (निष्कर्ष)

- Thus, Money laundering presents a significant challenge to India's national security, the government's fiscal capacity, and citizens' human development. The government has implemented commendable/appreciable legal and administrative reforms to combat this issue.

However, the battle is not yet won, and we must continue to make every effort to address it thoroughly. (मनी लॉन्ड्रिंग भारत की राष्ट्रीय सुरक्षा, सरकार की वित्तीय क्षमता और नागरिकों के मानव विकास के लिए एक महत्वपूर्ण चुनौती प्रस्तुत करती है। सरकार ने इस समस्या से निपटने के लिए सराहनीय/प्रशंसनीय कानूनी और प्रशासनिक सुधार लागू किए हैं। हालाँकि, लड़ाई अभी जीती नहीं गई है, और हमें इसे पूरी तरह से संबोधित करने के लिए हर संभव प्रयास जारी रखना चाहिए)

24.8 😈 Black Money/Taxation: Timeline of Major Events

Vodafone-CGT Case @SC	***2012***
Undisclosed Foreign Income & Assets Act	***2015***
Benami Transactions Prohibition Act	***2016***
Google Tax	***2016***
Demonetization	***8 Nov 2016***
Direct Tax Code (DTC) Task Force	***2017***
GAAR	***1 Apr 2017***
GST starts	***1 Jul 2017***
Corporation Tax ⏬ (25-30% ⟶ 15-22%)	***2019***
PM CARES Fund	***2020***
Vivad se Vishwas Scheme for Direct Taxes	***2020***
DIVIDEND DISTRIBUTION TAX abolished	***2020***
Income tax: Optional Slab (=NTR-OTR system)	***2020***
15th FC	***1 Apr'20***
Tax Payers' Charter	***Aug 2020***
- Global Minimum Tax - Retrospective tax abolished (Vodafone/Cairn)	***2021***
Bitcoin pe 30% CGT, 1% TDS	***2022***
Abolition of Angel Tax, Google Tax	***2024-Jul***
ZERO income tax upto ₹12 lakh	***2025***
FAST-DS 60% deposit on foreign income to get immunity	***2026***

24.8.1 😈 Black Money notable initiatives

To combat tax evasion **(Refer to Prelims Handout for more)**	**To combat tax avoidance** **(Refer to Prelims Handout for more)**
- Prevention of money laundering act 2002 (धनशोधन निवारण अधिनियम) - Undisclosed Foreign Income & Assets Act (UFIA-2015) (अज्ञात विदेशी आय तथा परिसंपत्ति अधिनियम) - Benami Transactions Prohibition Act (BTPA- 1988, 2016) ((बेनामी लेनदेन (निषेध) अधिनियम:)	General Anti-Avoidance Rules (GAAR) to give Additional powers to the Income Tax officials.
Demonetisation-2016 & Operation Clean money	Retrospective Tax (but undone after Vodafone / Cairn case)

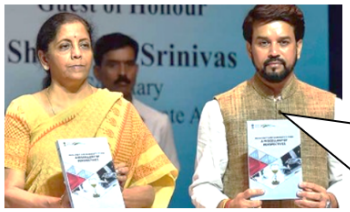
To combat tax evasion (Refer to Prelims Handout for more)	To combat tax avoidance (Refer to Prelims Handout for more)
TDS and TCS on various transactions	Global Minimum tax on companies engaged in Base erosion and profit shifting (BEPS)
Limits on cash transactions: 1) Ban on Transactions of 2 lakh /or above in cash 2) 2% TDS if More than ₹1 crore cash withdrawn from your own account.	
Electoral bonds to reduce the influence of cash in election	
Tax Information Exchange Agreement with Switzerland and other countries.	

24.9 🍋🍋🍋👨‍🔬: 👩‍🔬 TAX TERRORISM / HARASSMENT

⇒ (Definition) Tax Terrorism / Harassment happens when tax authorities put undue pressure on an honest taxpayer to pay more taxes or imposes disproportionate amount of penalty or jail for minor offenses. Critiques have used this word in context of Vodafone & Cairn cases. (ईमानदार करदाता पर टैक्स अधिकारी अनावश्यक दबाव / उत्पीड़न करे- उसे कर आतंकवाद या कर उत्पीड़न कहते हैं)

Legal reforms	⇒ **Direct Tax Code 2010** This bill aimed to replace the Income Tax Act, 1961 with simpler provisions. But, lapsed with 15th LokSabha dissolution in 2014. ⇒ Authority for Advance Rulings on GST and Transfer Pricing. ⇒ Abolished Retrospective Tax Amendment (related to Vodafone/CAIRN CGT Demand)
ICT reforms	⇒ Ease in Paying taxes: variety of apps / portals : Aaykar Setu, ICEGATE (Customs), ATITHI Mobile App (Customs) etc. ⇒ Faceless assessment and appeal. ⇒ Document Identification Number (DIN: दस्तावेज़ पहचान संख्याक)
Surrender / settlement Schemes:	- Vivad se Vishwas Scheme for Direct Taxes - Sabka Vishwas L.D.S Scheme for indirect taxes, namely Service tax and excise duty. - Dispute Resolution Committee under Income Tax Act.
Misc.	⇒ Tax payer's charter (करदाताओ का अधिकारपत्र) (Refer to Next Section) ⇒ Rajaswa Gyan Sangam workshops organised by CBDT & CBIC for idea exchange between policy makers and senior tax officers. (विचार/सुझावों के आदान प्रदान के लिए) ⇒ 2016: Modi gave them RAPID Mantra: R for Revenue, A for Accountability, P for Probity, I for Information and D for Digitization. ⇒ **Tax Ombudsman** (Refer to next section)

24.10 TAXPAYERS' CHARTER IN BUDGET-2020 (करदाताओ का अधिकारपत्र)



ये लो "कागज" पे लिख के **अधिकारपत्र** देते है की ईमानदार कर-दाता को परेशान नहीं करेंगे, और यदि परेशान किया तो इस नंबर पे फ़रियाद कर देना।



A citizens' charter (नागरिक अधिकारपत्र) is a document of commitments made by a government agency to the citizens in respect of the services being provided to them.

⇒ e.g Dept of Post's citizen charter reads, "we'll deliver speed post anywhere in India by 4-5 days →ELSE complain online to this website & we'll solve it → if not solved in 90 days then complain to Postmaster General → then to Chief Postmaster General."

⇒ Traditionally tax administrations paid limited attention to taxpayer service. पुराने जमाने में/पारंपरिक रूप से कर-अधिकारी "करदाता को अच्छी सेवा देना" अपनी जिम्मेदारी नहीं समझते थे. घमंड और बेरुख़ी से काम करते थे

⇒ However, Modern times → ⏫demand for better services to the taxpayers → Govts across the world, started framing charters and bill of rights for the taxpayers. हालांकि आधुनिक विश्व में इस प्रकार के अधिकार पत्र और कानून बनाए गए हैं

1986	UK charters for taxpayers (करदाताओं का अधिकार पत्र) → more updated 2009
1991	- 1991: citizen charter system started in UK by PM John Major - 1997: citizen charter introduced in Indian union ministries/departments. (नागरिकों का अधिकार पत्र)
1988	USA Taxpayers' Bill of Rights (करदाताओं के अधिकारों का विधेयक/कानून)
2007	Canadian taxpayers' Bill of Rights
2020	Indian Budget-2020: CBDT will declare a Taxpayers' Charter. So, Tax payer will easily know what services / complaint redressal mechanisms (शिकायत निवारणतंत्र) are available to him= ⬇taxpayer's harassment (करदाता का उत्पीड़न)

24.10.1 (Indian) Tax Payers' Charter released in 2020-Aug

It promises following things to taxpayers: करदाताओं को वादा करता है

1. You'll be treated in an impartial,courteous, professional manner. निष्पक्ष, विनम्र और पेशेवर तरीके से व्यवहार
2. You'll be treated/ presumed to be honest, unless there is a reason to believe otherwise. आपको ईमानदार माना जाएगा।
3. We will provide complete and accurate information about rules & complaint mechanism etc a timely fashion.नियम/शिकायत दर्ज कराने सम्बन्धी जानकारी
4. We will collect only correct amount of tax. (केवल सही राशि ली जाएगी। ज़बरन ज़्यादा राशि नहीं ली जाएगी।)
5. We will respect your privacy and confidentiality निजता व् गोपनीयता का सम्मान
6. We will hold our officers accountable for their wrongful actions. अधिकारिओ को गलत कार्यो की सजा देंगे
7. You can appoint a representative / tax lawyer to file replies/complaints//cases on your behalf. मामले दर्ज करने के लिए एक प्रतिनिधि / कर वकील नियुक्त कर सकते हैं।
8. We'll reduce cost of compliance (e.g. number of forms to be filled, photocopies to be submitted etc) अनुपालन की लागत कम करेंगे- फ़ालतू में दस्तावेज़ो की दर्जनों कॉपी निकालके फ़ॉर्म के साथ जोड़ने पड़े- एसे तमाशे बंद करेंगे.

9. +many other points but we have sufficient content for 250 words

It expects following things from taxpayers: Be honest, Pay taxes in time, Keep accurate records, be informed, respond to notices in time when notices are given. (करदाताओं से निम्न अपेक्षा करता है की वे ईमानदार रहें, समय में करों का भुगतान करें, सटीक रिकॉर्ड रखें, सूचित रहें, समयसर नोटिस का जवाब दें)

24.11 🍋👧: 🤷‍♂️🤦‍♂️TAX OMBUDSMAN: INDIAN EXPERIENCE

'Ombud' is a Swedish term and refers to a person who acts as the representative or spokesman of another person. 1809: The institution of Ombudsman was first created in Sweden- to look into citizens grievances (लोकपाल/लोक प्रहरी- नागरिकों की शिकायतों के निवारण के लिए)

2003	Direct Tax Ombudsman In India Started (प्रत्यक्ष करों के लिए कर-लोकप्रहरी/शिकायत निवारण अधिकारी)
2011	Indirect Tax Ombudsman In India Started (अप्रत्यक्ष करों के लिए)
2019	Above posts were abolished (दोनों पदों को समाप्त कर दिया)

At present, Direct Tax Payer can complain to

Mode	Organisation	😰Challenges?
Physical	Aaykar Sewa Kendras Under Income Tax Department	It falls within the Income Tax Department so difficult to ensure impartiality. (यह इकाइयां आयकर विभाग के अंदर ही है, इसलिए निष्पक्षता मुश्किल)
Online	e-nivaran portal Under Income Tax Department	
Online	CPGRAMS Portals (Central Public Grievance Redress and Monitoring System) Under Ministry of personnel and training.	It looks into Complaints against all types of ministries and departments so long delay in resolution. (सभी मंत्रालयों की सभी किस्म की शिकायतें देखता है इसलिए काफी देरी से जांच होगी)

24.11.1 🍋👧: 🤷‍♂️🤦‍♂️Tax Ombudsman: Global experience

- USA, Canada, Australia, Canada, UK, France, Brazil, South Africa etc Countries have separate laws/mechanisms for setting up a tax ombudsman.
- So they can function independently without undue pressure & without conflict of interest. (e.g. If the tax ombudsman's promotion/salary bonus depends on the whims of IRS officer/Finance Minister then he'll not act impartially.) बिना किसी के दबाव में या बिना किसी हितों के टकराव में निष्पक्ष रुप से अपना कार्य कर सकें ऐसे कानूनी प्रावधान/सुरक्षा दी गई
- Therefore, ES suggests we should create such statutory Tax-ombudsman posts.

24.11.2 🍋👧: 🤷‍♂️🤦‍♂️ Tax Ombudsman: Conclusion / way forward (निष्कर्ष/आगे का रास्ता)

⇒ Tax Terrorism / Non-resolution of tax grievances discourage the taxpayers from being honest in future. This encourages tax evasion, black money and parallel economy. (ईमानदार करदाता के साथ अन्याय हो तो वह भविष्य में कर भरने के प्रति उदासीन हो जाता है)

⇒ International experience suggests a tax ombudsman, with powers to investigate, punish & compensate, is necessary for enforcing taxpayers' charter. (अंतरराष्ट्रीय अनुभव से प्रतीत होता है कि करदाता के अधिकार पत्र का अनुपालन वास्तविक रुप से करने के लिए एक कर-लोक प्रहरी होना चाहिए- जिसके पास जांच, सजा और मुआवजा देने की सता हो)

⇒ Need of the hour is to set up this institution through a separate law, punitive powers, so as to ensure its impartiality and independence and effectiveness. (अग्रता क्रम से सरकार ने एक अलग कानून द्वारा इसे बनाना चाहिए ताकि निष्पक्ष स्वतंत्र और प्रभावी रूप से कार्य हो सके.)

24.12 DEMONETIZATION (विमुद्रीकरण यानी कि नोटबंदी)

⇒ 2016: ₹500 and ₹1000 notes demonetized. 2023: SC upheld the legality of this demonetization. Refer to Prelims Handout or Win23 series.

⇒ 2023: ₹2000 notes gradual withdrawal by September 30, 2023.

⇒ Let's go back and focus on demonetization of 500-1000 notes.

24.12.1 Demonetization – a failed experiment?

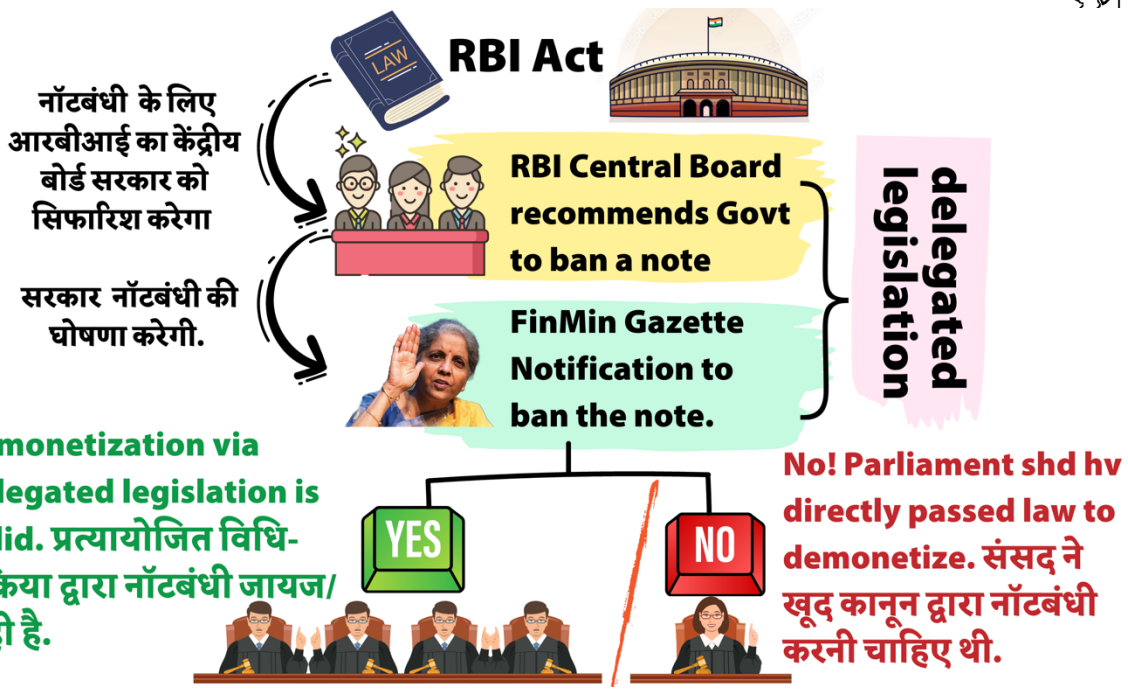
According to government, ₹ 3 lakh crores of Indian black money is stored in 500-1000 Notes (=2% of GDP).

After the demonetisation, ideally this much black money should have been destroyed but 99% of these specified bank Notes (SBN) came back in the system. So, how is it possible?

24.12.2 How did 99.30% SBN returned into banking system?

If the mathematical modelling was correct, then only 80% of the SBN should have returned back, & 20% SBN (presumed to be Black Money) should not have returned. But, Black money owners used following tricks to deposit their SBN in bank accounts:

1. Businessmen / Politicians used their drivers, cooks, gardeners, personal staff members and relatives as 'money mules'. This is evident from exponential rise in the deposits in Pradhan Mantri Jan Dhan bank accounts. (धनं खच्चर/टट्टू के रूप में इस्तेमाल किया)
2. SBN were given out as "loans" to poor & as advance salaries to workers.
3. Agents who tied up with corrupt bankers who exchanged SBN without KYC verification.
4. SBN deposited in Cooperative Banks as back-dated Fixed Deposits, because Cooperative Banks didn't use Core Bank Solution (CBS) so it was possible to temper records.
5. SBN deposited in banks and then shown as income from sale of (fictitious) grain stock etc. So, IT-dept can't demand tax on it (and most state governments not levy tax on agricultural income due to populism/vote bank politics). (फर्जी तरीके से आए को कृषि स्त्रोत से आया हुआ बताया)
6. SBN deposited in shell companies & shown as income from (fictitious) sale and invoices.
7. SBN donation to trust, temples & political parties with backdated receipts (and those entities are exempted from Income Tax on their income.)…. And so on



24.12.3 💸99.30% SBN returned, but Demonetization not failed experiment because:

- ✓ Those who could not return their SBN, have lost their black money (₹ 10,720 crore)
- ✓ Those who used poor people are money mules- must have paid some commission to them. So even if government did not get tax from black money, atleast poor people benefited. Thus, indirectly demonetization helped in redistribution of wealth.
- ✓ Further, **Operation Clean money**, IT-dept issued notices to the suspicious bank accounts where large amount of money was deposited. Such shell firms & their benami properties are seized.
- ✓ With **Project Insight & Op. Clean Money**: IT dept fetched ₹ 1.30 lakh crore in taxes and penalty, attached ₹ 7000 crore worth Benami properties, ₹ 1600 crore worth foreign assets & de-registered ~3.40 lakh shell firms. *(says the Int-Budget-2019).*
- ✓ The number of PAN card registration, IT returns, registrations under excise / VAT / GST have greatly ⏫⏫ in the aftermath of demonetisation which proves that crooked people have learned lesson. More than 1 cr. new IT assesses added in 2017.
- ✓ Tax collection ⏫⏫ from ~₹ 6 lakh crores (2013) to ~₹ 12 lakh crores (2018).

24.12.4 💸Demonetization: Impact as per Economic survey 2016-17

Area	😢 Short Term Challenges	🥰 Long Term Benefits (दीर्घ अवधि के फायदे)
Banking	Administrative challenges on the bankers to exchange the banned notes, long queues	Growth in the deposits → more loans can be given @cheaper interest rate, Less Cash economy & associated benefits.
Real Estate	Sale of houses ⏬ (मकानों की बिक्री में गिरावट)	Prices & rents of houses should ⏬. Migrants will benefit.
Economy at large	Job loss in cash-intensive sectors like diamond polishing, farm laborer,	Less-cash economy, digitization and formalization of economy, Bizmen getting GST registrations → further surveillance → forced to show employees

Area	😢 Short Term Challenges	🥰 Long Term Benefits (दीर्घ अवधि के फायदे)
	MSME (बेरोजगारी)	on paper → EPFO & ESIC benefits to worker.
Growth	Slow down (गिरावट)	Improvement (आर्थिक वृद्धि दर में बढ़ोतरी)

Self-Study for Mains IF YOU'VE TIME: Economic survey 2016-17 Vol1ch3, table 2 "impact of demoneti.." to improve vocabulary esp for Hindi.

24.12.5 📦🧨🤵 SC bans electoral bonds (2024-Feb)

Covered in Prelims Handouts 1C.

24.13 🤳 Behavioural Economics: Improving Tax Collection

⇒ Behavioural economics is a field of study that combines economics and psychology.

⇒ It aims understand how and why people make decisions in the real world.





TRADITIONAL ECONOMICS पारम्परिक अर्थशास्त्र	BEHAVIORAL ECONOMICS स्वभाव संबंधी अर्थशास्त्र
people are rational actors who make decisions based on a cost-benefit analysis / profit motive. (लोग नफे नुकसान के मुताबिक/ अनुसार निर्णय लेते हैं)	People are not always rational. They are influenced by a variety of factors, such as emotions, biases, and social norms. (भावनाओं, पूर्वाग्रहों और सामाजिक मानदंडों के अनुसार निर्णय लेते हैं. हमेशा तार्किक और न्यायोचित निर्णय नहीं लेते)

- Plato said, *"What is honoured in a country, is cultivated there."* Indians join military because not merely for salary, but because serving in the armed forces is considered 'honourable'. (भारतीय युवा फौज में जाते हैं सिर्फ तनख्वाह के लिए नहीं बल्कि इसलिए क्योंकि वह सम्माननीय नौकरी है)
- So, we should use the principles of Behavioral Economics to enhance tax compliance We've to modify the social norm from "evading taxes is acceptable" to "paying taxes honestly is honorable." (व्यावहारिक अर्थशास्त्र के सिद्धांतों द्वारा कर अनुपालन में बढ़ोतरी कराएं. कर भरना एक सम्माननीय कर्तव्य बने)
- **(Definition) Tax Morale**: it is the motivation of taxpayers to pay taxes. (कर संबंधी नैतिक मनोबल)
- When tax morale is ⏬ → motivation for tax evasion ⏫.

Fairness निष्पक्षता	Vertical Fairness (उर्ध्वाधार निष्पक्षता क्षैतिज)	Horizontal Fairness (क्षैतिज निष्पक्षता)
Tax Payer's thought process →	What I pay in taxes is commensurate to the benefits I receive as services from the Government.	There should not be a great difference in the taxes paid by the 'similar' sections of society.
His Tax morale is lowered when →	He sees taxpayers' money wasted in public expenditure (like Mayawati's elephant statutes) instead of better quality of water, road, education or electricity.	If a salaried employee and a shopkeeper are earning ₹8 lakhs per annum, still the salaried employee is forced to pay more taxes than this shopkeeper, because - TDS on salary whereas shopkeeper underreports his sales in cash payment. - Shopkeeper shows less profit through fictitious business expenditures.
Solution(s)	✓ under-constructions projects should show signboards "Your tax money at work" ✓ Reminding tax payers that public goods can only be provided in return for tax compliance. Most people in your local community pay their taxes on time.	✓ SMS, billboards highlighting self-employed individuals who pay good amount of tax. ✓ Public shaming of individuals who don't pay taxes. It'll scare other tax-evaders that the probability of their detection has increased. ✓ Avoid Tax Amnesties. Give stringent punishment to tax evaders.

Further, ES19 suggested:

Top 10 highest taxpayers within a district → They should be given VIP-treatment such as faster boarding privileges at airports, special "diplomatic" type lanes at immigration counters, fast-lane on roads and toll booths, etc.

- ✓ Highest taxpayers over a decade → Important places should be named after them e.g. roads, trains, schools, universities, hospitals and airports.
- ✓ In Hinduism, Islam and Christianity - unpaid debt is considered a sin. So, advertisements should highlight how tax evasion is a violation of such "spiritual/religious norms".
- ✓ Ease in Paying Taxes: Pre-populated Income Tax forms with easy to understand terms. Even if a person's tax liability is ZERO, he should be required to fill Income Tax form.
- ✓ Automated TDS as and where possible and timely release of Tax refunds.



Table 1: Tax Morale is affected by two types of fairness

@Hindi-Medium-Mains candidates: you may refer ES2018-19 Vol1 Ch.2 page52's bullet 2.33 upto page 55's box 5 to get the clean & formal vocabulary

24.13.1 🍋🥛 Tax: GDP: 15th Finance Commission on how to improve it?

⇒ Expand the scope of TDS/TCS to cover more number of transactions and find the tax evaders. (विविध प्रकार के लेनदेन को टीडीएस/टीसीएस के दायरे में लाया जाए ताकि कर चोरी पर निगरानी रखी जा सके)

⇒ 40% of the people who filed Income Tax forms in 2019-20 did not pay any income tax. Because either: (आयकर का फॉर्म भरने वाले 40% लोग असल में आयकर नहीं जमा करते क्योंकि…..)

- the taxable income was very low (आयकर योग्य आय बहुत कम है)
- they are hiding / underreporting income (आयकर फॉर्म में कुछ आमदनी को छुपाया जा रहा है)
- because of tax-deduction & tax rebates. (वह विविध प्रकार के टैक्स डिडक्शन, टैक्स रिबेट का लाभ लेकर अपने आयकर दायित्व 0 कर देते हैं)
- So, Government needs to address this. इसलिए व्यवस्था में सुधार जरूरी

Income Tax Rate	Minimum	Maximum	Income Tax Rate	Minimum	Maximum
UK	20	45	Brazil	7.5	27.5
USA	10	37-40	Japan	5	45
Sweden	20	25	China	3	45
Australia	19	45	India, Indonesia	5	30

⇒ Article 276: Presently Constitution does not allow the state government to demand more than ₹2500 rupees per year as professional tax. Union government should amend the constitution to increase the limit. 14th FC recommended ₹12,000 per year. (राज्य सरकारों को व्यवसाय कर वसूलने की संविधान में जो सीमा दी गई है उसे ढाई हजार से बढ़ाकर 12000 प्रति वर्ष किया जाए)

⇒ Originally, GST has four slabs 5-12-18-28. Rationalize it into just three slabs for more efficient administration & relief to taxpayers. **UPDATE**: this was done in GST 2.0 (2025, ref prelims HDT) (जीएसटी की दरों की संख्या को कम किया जाए)

⇒ Govt should ⏬ decrease the over-reliance on indirect taxes (e.g. raising excise/VAT on petrol-diesel). Increase the coverage of direct taxes of Union and State. (सरकार ने वित्त प्रबंधन के लिए परोक्ष करो पर अपनी निर्भरता को थोड़ा कम करना चाहिए, प्रत्यक्ष करो का व्याप बढ़ाना चाहिए)

24.13.2 👋🔪Conclusion- Black Money

To become a developed nation by 2047, India has to invest huge amount of money in education, skill, infrastructure and healthcare. Government cannot do this, with a poor tax:GDP ratio. Therefore, the need of the hour is to address the issue of black money and money laundering urgently/on war-footing. (2047 तक एक विकसित राष्ट्र बनने के लिए भारत को शिक्षा, कौशल, बुनियादी ढांचे और स्वास्थ्य सेवा में भारी मात्रा में धन निवेश करना होगा। खराब कर:जीडीपी अनुपात के साथ सरकार ऐसा नहीं कर सकती। इसलिए, समय की मांग है कि काले धन और मनी लॉन्ड्रिंग के मुद्दे को तत्काल/युद्ध स्तर पर संबोधित किया जाए)

24.14🍋🔪 Taxation new challenges (2024–26)

24.14.1 🍋🔪 Fiscal Federalism

⇒ Supreme Court judgement regarding the power of the state government to tax mining rights, industrial alcohol. (Ref: Prelims HDTs)

⇒ States demanding 50% evolution from the 16th finance commission (50% कर अंतरण चाहिए)

24.14.2 🍋🔪 Fiscal Federalism Southern states vs union

⇒ Andhra Pradesh makes special demand for extra 1% GST levy for disasters (आपदा प्रबंधन के लिए GST पर अतिरिक्त शुल्क की माँग।)

⇒ Andhra Pradesh and Bihar received special funds under the budget-2024 (due to coalition with ruling party at centre). Union justifies extra fund for 'backwardness', prompting Kerala politicians to criticize that Kerala state is being "punished" for making great strides in social indicators such as health, education and population control. (केरला का आरोप है कि केंद्र द्वारा केरल को उसे 'पिछड़ा' नहीं होने का दंड दिया जा रहा है, जबकि आँध्र और बिहार की सरकारों को सत्तापक्ष के गठबंधन में होने के कारण फंड दिया जा रहा है।)

⇒ TAMIL NADU'S first Economic Survey 2024–25 criticized policy constraints" imposed by the Union government against Tamilnadu's GDP growth. (तमिलनाडु का आर्थिक सर्वेक्षण के आरोप लगाता है कि केंद्र की नीतियों ही तमिलनाडु का विकास रोक रही है।)

⇒ Telangana BRS party leader Rama Rao proposes delimitation based on fiscal contribution. and also 36% representation in Parliament for the Southern States. (संसद में हर राज्य को कितनी सीट मिलेगी इसका सीमांकन उस राज्य द्वारा केंद्रीय करों में कितना योगदान दिया जा रहा है उस पर निर्भर होना चाहिए।)

⇒ 2026 Iran War, 2025 Tariff War : Tax collection growth to decline, subsidy burden to increase.

⇒ 2025-26: FPI exit, slow growth in share market : capital gain tax collection growth to decline.

24.14.3 Taxes and inflation (कराधान और मुद्रास्फीति महँगाई)

⇒ Israel -Iran War could inflate the oil prices → if the union states do not reduce the taxes on fuel → more inflation.

⇒ Inflation in the insurance premium → greater demand for removing the GST on Insurance. Some State Government say they are in favor, but GST Council, not taking decision.

24.14.4 Misc. (अन्य/विविध)

⇒ New income tax bill 2025 did not have any drastic changes, mostly old Wine in new bottle. (आयकर के नए विधेयक में कोई ख़ास सुधार नहीं। नई बोतल में पुरानी शराब।)

⇒ Trump walked out of global corporate minimum tax agreement. (Ref Prelims black money hdt) (वैश्विक कॉर्पोरेट न्यूनतम कर समझौते को ट्रंप ने अस्वीकृत किया)

24.14.5 Mock Questions for UPSC Mains (250 words each)

1. (PYQ-GSM3-2021) Discuss how emerging technologies and globalisation contribute to money laundering. Elaborate measures to tackle the problem of money laundering both at national and international levels. चर्चा कीजिए कि किस प्रकार उभरती प्रोध्योगिकियाँ और वैश्वीकरण मनी लॉन्ड्रिंग की समस्या में योगदान देते है। इनसे निपटने के लिए राष्ट्रीय व वैश्विक स्तर पे उपायों को विस्तृत कीजिए।
2. *(PYQ-GSM3-2013)* Money laundering poses a serious threat to country's economic sovereignty. What steps are required to be taken to control this menace? मनी लॉन्ड्रिंग देश की आर्थिक संप्रभुता के लिए एक गंभीर खतरा है। इस खतरे को नियंत्रित करने के लिए क्या कदम उठाए जाने की आवश्यकता है?
3. Despite being a trillion dollar economy, India's tax to GDP is quite low. Suggest solutions.
4. Discuss the significance of taxpayers charter & tax ombudsman in the tax administration of India. (भारत के कर-प्रबंधन में करदाताओं के अधिकार पत्र और कर-लोकप्रहरी/शिकायत निवारण अधिकारी के महत्व की चर्चा)
5. What is retrospective taxation? Discuss provisions in Taxation Laws (Amendment) Act, 2021 in this regard. (पूर्वप्रभावी/भूतलक्षी कराधान क्या है? इस संबंध में कराधान संशोधन क़ानून 2021 में क्या प्रावधान किए गए हैं?) Refer to Prelims Handout.
6. Discuss the rationale behind of a global minimum tax. How will it help countries like India? (वैश्विक न्यूनतम कर की शुरूआत के पीछे तर्क पर चर्चा करें। यह भारत जैसे देशों की कैसे मदद करेगा?) Prelims Handout.
7. Examine critically the debate around the reintroduction of wealth tax and inheritance tax. (संपत्ति कर और उत्तराधिकार/विरासत कर को पुनः लागू करने के संबंध में चल रही बहस की आलोचनात्मक जांच कीजिए।)

Next Handout: Pillar2CD- Subsidies, Disinvestment, Deficit